

CONTINUING DISCLOSURE ANNUAL REPORT

FISCAL YEAR ENDED JUNE 30, 2022

**BAKERSFIELD CITY SCHOOL DISTRICT
2006 ELECTION GENERAL OBLIGATION
QUALIFIED SCHOOL CONSTRUCTION BONDS,
2012 SERIES B (FEDERALLY TAXABLE)**

**BAKERSFIELD CITY SCHOOL DISTRICT
2006 ELECTION GENERAL OBLIGATION
BONDS, 2012 SERIES C**

**BAKERSFIELD CITY SCHOOL DISTRICT
GENERAL OBLIGATION REFUNDING BONDS,
2015 SERIES A**

**BAKERSFIELD CITY SCHOOL DISTRICT
2006 ELECTION GENERAL OBLIGATION
QUALIFIED SCHOOL CONSTRUCTION
BONDS, 2015 SERIES E (FEDERALLY
TAXABLE)**

**BAKERSFIELD CITY SCHOOL DISTRICT
GENERAL OBLIGATION BONDS, ELECTION OF
2016, 2017 SERIES A**

**BAKERSFIELD CITY SCHOOL DISTRICT
GENERAL OBLIGATION BONDS,
ELECTION OF 2016, 2020 SERIES B**

**BAKERSFIELD CITY SCHOOL DISTRICT
GENERAL OBLIGATION BONDS, ELECTION OF 2016, 2022 SERIES C**



**BAKERSFIELD CITY SCHOOL DISTRICT
1300 BAKER STREET
BAKERSFIELD, CALIFORNIA 93305**

**BAKERSFIELD CITY SCHOOL DISTRICT
2006 ELECTION GENERAL OBLIGATION QUALIFIED SCHOOL CONSTRUCTION BONDS,
2012 SERIES B (FEDERALLY TAXABLE)**

<i>MATURITY DATE</i> <i>(May 1)</i>	<i>CUSIP*</i>
2026	057507 HU2
2033	057507 HV0

**BAKERSFIELD CITY SCHOOL DISTRICT
2006 ELECTION GENERAL OBLIGATION BONDS, 2012 SERIES C**

<i>MATURITY DATE</i> <i>(May 1)</i>	<i>CUSIP*</i>
2037	057507 HW8
2042	057507 HX6
2047	057507 HY4

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**BAKERSFIELD CITY SCHOOL DISTRICT
GENERAL OBLIGATION REFUNDING BONDS, 2015 SERIES A**

<i>MATURITY DATE</i> <i>(November 1)</i>	<i>CUSIP*</i>
2023	057507 JL0
2023	057507 JW6
2024	057507 JM8
2025	057507 JN6
2026	057507 JP1
2027	057507 JQ9
2028	057507 JR7
2029	057507 JS5
2029	057507 JX4
2029	057507 JY2
2030	057507 JT3
2031	057507 JU0

**BAKERSFIELD CITY SCHOOL DISTRICT
2006 ELECTION GENERAL OBLIGATION QUALIFIED SCHOOL CONSTRUCTION BONDS,
2015 SERIES E (FEDERALLY TAXABLE)**

<i>MATURITY DATE</i> <i>(May 1)</i>	<i>CUSIP*</i>
2031	057507 JZ9
2039	057507 KA2

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**BAKERSFIELD CITY SCHOOL DISTRICT
GENERAL OBLIGATION BONDS, ELECTION OF 2016, 2017 SERIES A**

<i>MATURITY DATE (November 1)</i>	<i>CUSIP*</i>
2023	057507 KL8
2024	057507 KM6
2025	057507 KN4
2026	057507 KP9
2027	057507 KQ7
2028	057507 KR5
2029	057507 KS3
2030	057507 KT1
2031	057507 KU8
2032	057507 KV6
2033	057507 KW4
2034	057507 KX2
2035	057507 KY0
2036	057507 KZ7
2042	057507 LA1
2046	057507 LB9

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**BAKERSFIELD CITY SCHOOL DISTRICT
GENERAL OBLIGATION BONDS, ELECTION OF 2016, 2020 SERIES B**

<i>MATURITY DATE (November 1)</i>	<i>CUSIP*</i>
2025	057507 LG8
2026	057507 LH6
2027	057507 LJ2
2028	057507 LK9
2029	057507 LL7
2030	057507 LM5
2031	057507 LN3
2032	057507 LP8
2033	057507 LQ6
2034	057507 LR4
2035	057507 LS2
2036	057507 LT0
2037	057507 LU7
2038	057507 LV5
2039	057507 LW3
2040	057507 LX1
2041	057507 LY9
2042	057507 LZ6
2043	057507 MA0
2044	057507 MB8
2045	057507 MC6
2048	057507 MF9

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**BAKERSFIELD CITY SCHOOL DISTRICT
GENERAL OBLIGATION BONDS, ELECTION OF 2016, 2022 SERIES C**

<i>MATURITY DATE (November 1)</i>	<i>CUSIP*</i>
2023	057507 MG7
2024	057507 MH5
2025	057507 MJ1
2026	057507 MK8
2027	057507 ML6
2028	057507 MM4
2029	057507 MN2
2030	057507 MP7
2031	057507 MQ5
2032	057507 MR3
2033	057507 MS1
2034	057507 MT9
2035	057507 MU6
2036	057507 MV4
2037	057507 MW2
2038	057507 MX0
2039	057507 MY8
2040	057507 MZ5
2042	057507 NB7
2046	057507 NF8
2051	057507 NL5

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INTRODUCTION

THIS CONTINUING DISCLOSURE ANNUAL REPORT, dated January 6, 2023 (the “Continuing Disclosure Annual Report”), has been prepared to satisfy the obligations of the Bakersfield City School District (the “School District”).

Definitions

Unless otherwise required, the following are the defined terms for this Annual Report.

2012B Bonds. 2012B Bonds means the Bakersfield City School District 2006 Election General Obligation Qualified School Construction Bonds, 2012 Series B (Federally Taxable) issued on July 12, 2012.

2012B Bonds Disclosure Certificate. 2012B Bonds Disclosure Certificate means that certain Continuing Disclosure Certificate, dated July 12, 2012, executed by the School District in connection with the issuance of the 2012B Bonds.

2012C Bonds. 2012C Bonds means the Bakersfield City School District 2006 Election General Obligation Bonds, 2012 Series C issued on July 12, 2012.

2012C Bonds Disclosure Certificate. 2012C Bonds Disclosure Certificate means that certain Continuing Disclosure Certificate, dated July 12, 2012, executed by the School District in connection with the issuance of the 2012C Bonds.

2015A Refunding Bonds. 2015A Refunding Bonds means the Bakersfield City School District General Obligation Refunding Bonds, 2015 Series A issued on February 25, 2015.

2015A Refunding Bonds Disclosure Certificate. 2015A Refunding Bonds Disclosure Certificate means that certain Continuing Disclosure Certificate, dated February 25, 2015, executed by the School District in connection with the issuance of the 2015A Refunding Bonds.

2015E Bonds. 2015E Bonds means the Bakersfield City School District 2006 Election General Obligation Qualified School Construction Bonds, 2015 Series E (Federally Taxable) issued on July 30, 2015.

2015E Bonds Disclosure Certificate. 2015E Bonds Disclosure Certificate means that certain Continuing Disclosure Certificate, dated July 30, 2015, executed by the School District in connection with the issuance of the 2015E Bonds.

2017A Bonds. 2017A Bonds means the Bakersfield City School District General Obligation Bonds, Election of 2016, 2017 Series A issued on March 29, 2017.

2017A Bonds Disclosure Certificate. 2017A Bonds Disclosure Certificate means that certain Continuing Disclosure Certificate, dated March 29, 2017, executed by the School District in connection with the issuance of the 2017A Bonds.

2020B Bonds. 2020B Bonds means the Bakersfield City School District General Obligation Bonds, Election of 2016, 2020 Series B issued on January 23, 2020.

2020B Bonds Disclosure Certificate. 2020B Bonds Disclosure Certificate means that certain Continuing Disclosure Certificate, dated January 23, 2020, executed by the School District in connection with the issuance of the 2020B Bonds.

2022C Bonds. 2022C Bonds means the Bakersfield City School District General Obligation Bonds, Election of 2016, 2022 Series C issued on February 16, 2022.

2022C Bonds Disclosure Certificate. 2022C Bonds Disclosure Certificate means that certain Continuing Disclosure Certificate, dated February 16, 2022, executed by the School District in connection with the issuance of the 2022C Bonds.

Bonds or Bond. The Bonds or the Bond means the 2012B Bonds, the 2012C Bonds, the 2015A Refunding Bonds, the 2015E Bonds, the 2017A Bonds, the 2020B Bonds and the 2022C Bonds.

Disclosure Certificates or Disclosure Certificate. The Disclosure Certificates or Disclosure Certificate means the 2012B Bonds Disclosure Certificate, the 2012C Bonds Disclosure Certificate, the 2015A Refunding Bonds Disclosure Certificate, the 2015E Bonds Disclosure Certificate, the 2017A Bonds Disclosure Certificate, the 2020B Bonds Disclosure Certificate and the 2022C Bonds Disclosure Certificate.

EMMA. Electronic Municipal Market Access, a service of the Municipal Securities Rulemaking Board.

Official Statements. Official Statements means that certain Official Statement, dated July 12, 2012, with respect to the 2012B Bonds, that certain Official Statement, dated July 12, 2012 with respect to the 2012C Bonds, that certain Official Statement, dated February 25, 2015, with respect to the 2015A Refunding Bonds, that certain Official Statement, dated July 30, 2015, with respect to the 2015E Bonds, that certain Official Statement, dated March 29, 2017, with respect to the 2017A Bonds, that certain Official Statement, dated January 23, 2020, with respect to the 2020B Bonds and that certain Official Statement, dated January 16, 2022, with respect to the 2022C Bonds.

Rule. Rule means Rule 15c2-12 of the Securities Exchange Act of 1934, as amended.

Terms and Requirements

The School District has agreed under each Disclosure Certificate to provide certain annual financial information and operating data and notices of certain reporting of significant event notices. These covenants have been made to comply with the Rule. As provided in each Disclosure Certificate, this Annual Report is being prepared for publication with EMMA, for the benefit of the owners of the Bonds and the participating underwriters. Capitalized terms used herein which are not otherwise defined shall have the respective meanings specified in each Disclosure Certificate.

The information in this Annual Report is being provided as required under each Disclosure Certificate.

AUDITED FINANCIAL STATEMENTS

The Audited Financial Statements of the School District for the most recently completed fiscal year is attached hereto as Appendix A.

FINANCIAL INFORMATION AND OPERATING DATA

Pursuant to the Disclosure Certificates, the Financial Information herein consists of updated versions of the financial information and operating data contained in certain tables within the Official Statements.

Average Daily Attendance, Enrollment and LCFF

Prior to Fiscal Year 2013-14, school districts in California derived most State funding based on a formula which considered a revenue limit per unit of average daily attendance (“ADA”). With the implementation of the Local Control Funding Formula (“LCFF”), commencing in Fiscal Year 2013-14, school districts receive base funding based on ADA, and may also be entitled to supplemental funding, concentration grants and funding based on an economic recovery target. State allocations are provided on the bases of target base funding grants per unit of ADA (a “Base Grant”) assigned to each of the four grade spans.

The table below sets forth the School District’s actual ADA, enrollment (including percentage of students who are English language learners, from low-income families and/or foster youth (collectively, “EL/LI Students”)), and targeted Base Grant per unit of ADA for the most recently completed Fiscal Year. The ADA and enrollment numbers reflected in the following table include special education.

BAKERSFIELD CITY SCHOOL DISTRICT Average Daily Attendance, Enrollment and Targeted Base Grant Fiscal Year 2021-22

	<i>ADA/Base Grant</i>			<i>Enrollment</i>		
	<i>K-3</i>	<i>4-6</i>	<i>7-8</i>	<i>Total ADA</i>	<i>Total Enrollment⁽³⁾</i>	<i>Percent of EL/LI Students⁽⁴⁾</i>
ADA ⁽¹⁾ :	10,855.76	8,457.86	5,372.00	24,685.62	29,256	86.78%
Targeted Base Grant ⁽²⁾ :	8,093	8,215	8,458	--	--	--

⁽¹⁾ Reflects P-2 ADA.

⁽²⁾ Such amounts represent the targeted amount of Base Grant per unit of ADA, and do not include any supplemental and concentration grants under the LCFF.

⁽³⁾ Reflects certified enrollment as of the fall census day (the first Wednesday in October), which is reported to the California Longitudinal Pupil Achievement Data System (“CALPADS”) in each school year and used to calculate each school district’s unduplicated EL/LI student enrollment. CALPADS figures exclude preschool and adult transitional students.

⁽⁴⁾ For purposes of calculating Supplemental and Concentration Grants, beginning in Fiscal Year 2017-18, a school district’s percentage of unduplicated EL/LI students is based on a rolling average of such school district’s EL/LI enrollment for the then-current fiscal year and the two immediately preceding fiscal years.

Source: Bakersfield City School District.

Summary of Debt

Short-Term Debt. The School District currently has no outstanding short-term debt.

Long-Term Debt. A schedule of changes in long-term debt for the recently completed Fiscal Year is set forth in the tables below.

BAKERSFIELD CITY SCHOOL DISTRICT SUMMARY OF LONG-TERM DEBT Fiscal Year 2021-22

	Balance July 1, 2021 as Restated	Additions	Deductions	Balance June 30, 2022	Due in One Year
Long-Term Liabilities					
General obligation bonds	\$ 114,782,124	\$ 34,590,528	\$ (4,285,000)	\$ 145,087,652	\$ 4,205,000
Unamortized debt premiums	3,946,071	1,122,144	(326,453)	4,741,762	-
Unamortized debt discounts	(651,344)	-	51,800	(599,544)	-
Financed purchases	2,166,318	-	(128,554)	2,037,764	131,749
Leases	2,033,630	2,965,623	(1,413,120)	3,586,133	1,252,923
Compensated absences	2,879,219	14,362	-	2,893,581	-
Claims liability, see Note 12	12,558,803	62,268,592	(63,111,944)	11,715,451	-
Total	<u>\$ 137,714,821</u>	<u>\$ 100,961,249</u>	<u>\$ (69,213,271)</u>	<u>\$ 169,462,799</u>	<u>\$ 5,589,672</u>

Source: Bakersfield City School District Audit Report for the year ended June 30, 2022.

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Comparison of Adopted Budgets

The table below contains the School District's Original Adopted Budget and Actual Audited Figures for the previous Fiscal Year, as well as the School District's Adopted General Fund Budget for the current Fiscal Year.

BAKERSFIELD CITY SCHOOL DISTRICT COMPARISON OF GENERAL FUND ORIGINAL ADOPTED FIGURES AND ACTUAL AUDITED FIGURES TO GENERAL FUND ADOPTED BUDGET FISCAL YEAR 2021-22 AND 2022-23

	<i>2021-22 Adopted Budget</i>	<i>2021-22 Actual Audited Figures⁽¹⁾</i>	<i>2022-23 Adopted Budget⁽²⁾</i>
REVENUES			
Local Control Funding Formula Sources	\$ 356,729,396	\$ 366,355,341	\$ 376,943,295
Federal Sources	39,027,031	73,437,268	167,071,993
Other State Sources	65,994,666	107,220,440	119,982,876
Other Local Sources	2,704,487	(1,584,435)	4,400,830
Total Revenues	<u>464,455,580</u>	<u>545,428,614</u>	<u>668,398,994</u>
EXPENDITURES			
Certificated Salaries	187,645,042	189,567,122	209,821,943
Classified Salaries	83,479,389	78,725,611	113,048,219
Employee Benefits	145,712,005	136,004,987	161,738,070
Books and Supplies	47,779,334	39,361,075	70,705,470
Services and Operating Expenditures	57,106,056	43,456,598	85,649,694
Capital Outlay	13,125,157	3,136,907	64,825,601
Other Outgo	895,915	9,561,051	895,916
Indirect Costs	(1,188,597)	-	(830,940)
Debt Service	-	-	-
Principal	-	128,554	-
Interest and other	-	51,785	-
Total Expenditures	<u>534,554,301</u>	<u>499,993,690</u>	<u>705,853,973</u>
Excess (Deficiency) of Revenues Over Expenditures	<u>(70,098,721)</u>	<u>45,434,924</u>	<u>(37,454,979)</u>
Other Financing Sources (Uses)			
Transfer In	-	2,965,623	-
Transfer Out	(720,000)	-	-
Other Sources	-	-	-
Net Financing Sources (Uses)	<u>(720,000)</u>	<u>2,965,623</u>	<u>-</u>
NET CHANGE IN FUND BALANCES	<u>(70,818,721)</u>	<u>48,400,547</u>	<u>(37,454,979)</u>
Fund Balance – Beginning	\$ 165,763,727	\$ 123,701,215	\$ 135,505,356
Fund Balance – Ending	<u>\$ 94,945,006</u>	<u>\$ 172,101,762</u>	<u>\$ 98,050,377</u>

⁽¹⁾ Audit Report for the year ended June 30, 2022.

⁽²⁾ Original Adopted Budget for Fiscal Year 2022-23 adopted by the Board on June 28, 2022.

Source: Bakersfield City School District.

Assessed Valuations

The table below shows the assessed valuation in the School District for current Fiscal Year.

BAKERSFIELD CITY SCHOOL DISTRICT ASSESSED VALUATIONS Fiscal Year 2022-23

<i>Local Secured</i>	<i>Utility</i>	<i>Unsecured</i>	<i>Total</i>
\$11,669,874,536	\$3,544,752	\$351,071,318	\$12,024,490,606

Source: California Municipal Statistics, Inc.

Secured Tax Charges and Collections

The following table shows real property tax charges and collections in the School District for the most recent Fiscal Year.

BAKERSFIELD CITY SCHOOL DISTRICT SECURED TAX CHARGES AND COLLECTIONS ⁽¹⁾ Fiscal Year 2021-22

<i>Secured Tax Charge⁽²⁾</i>	<i>Amount Collected June 30</i>	<i>Percent Collected June 30</i>
\$5,284,260.52	\$85,417.01	1.62%

⁽¹⁾ Bond debt service levy only.

Source: California Municipal Statistics, Inc.

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Largest Property Taxpayers

The table below lists the School District's largest property taxpayers for the current Fiscal Year.

BAKERSFIELD CITY SCHOOL DISTRICT Largest 2022-23 Local Secured Taxpayers

<i>Property Owner</i>	<i>Primary Land Use</i>	<i>2022-23 Assessed Valuation</i>	<i>Percent of Total ⁽¹⁾</i>
1. MacPherson Oil Co.	Oil & Gas Production	\$282,206,636	2.42%
2. Chevron USA Inc.	Oil & Gas Production	196,215,187	1.68
3. California Water Service Company	Water Company	139,410,281	1.19
4. MPT of Ernest BAK LP	Medical Facilities	40,744,573	0.35
5. FM Baker LLC	Office Building	37,226,740	0.32
6. Excel Realty Partners LP	Shopping Center	33,261,748	0.29
7. Kaiser Foundation Health Plan Inc.	Office Building	30,683,753	0.26
8. DP Cal Corporate Plaza LP	Office Building	28,804,348	0.25
9. Bakersfield Convention Hotel I LLC	Hotel	27,104,469	0.23
10. Rio Bravo Medical Campus LLC	Office Building	24,534,567	0.21
11. Twin Towers LLC	Office Building	24,277,071	0.21
12. Nickel Family LLC	Agricultural	19,647,647	0.17
13. Memorial Medical Plaza LLC	Office Building	19,389,541	0.17
14. Peter P. Bollinger 2003 LLC	Shopping Center	19,127,298	0.16
15. SA Recycling LLC	Industrial	18,937,126	0.16
16. Maya Bakersfield Cinemas LLC	Movie Theater	18,101,541	0.16
17. Churchill Prop Portfolio Owner LLC	Senior Apartments	17,872,743	0.15
18. Shadow Ridge Apartments LLC	Apartments	17,519,067	0.15
19. Wal Mart Real Estate Business Trust	Commercial	17,233,578	0.15
20. Catalina Barber Corp.	Industrial	17,142,159	0.15
		<u>\$1,029,440,073</u>	<u>8.82%</u>

⁽¹⁾ 2022-23 Local Secured Assessed Valuation: \$11,669,874,536.
Source: California Municipal Statistics, Inc.

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CERTAIN DISCLAIMERS

The information contained in this Annual Report expresses only the views of the applicable party. An explanation of the significance of any such information may be obtained from the applicable party. The School District undertakes no responsibility to oppose any revision or withdrawal of such information contained in this Annual Report.

To the extent the School District provides information in this Annual Report, the School District is not obligated to present or update information in future Annual Reports. Investors are advised to refer to the applicable Official Statements for the Bonds for information concerning the initial issuance of and security for the Bonds.

By providing the information in this Annual Report, the School District does not imply or represent (a) that all information provided in this Annual Report is material to investors' decisions regarding investment in the Bonds, (b) the completeness or accuracy of any financial, operational or other information not included herein or in the Official Statements, (c) that no changes, circumstances or events have occurred since the date of this Annual Report (other than as contained herein), or (d) that no other information exists which may have a bearing on the School District's financial condition, the security for the Bonds or an investor's decision to buy, sell or hold the Bonds.

The information set forth in this Annual Report or incorporated in this Annual Report has been furnished by the School District and is believed to be accurate and reliable but is not guaranteed as to accuracy or completeness. Statements contained in or incorporated by this Annual Report which involves estimates, forecasts or other matters of opinion, whether or not expressly so described herein, are intended solely as such and are not to be construed as representations of fact. Further, expressions of opinion contained in this Annual Report or incorporated in this Annual Report are subject to change without notice and the delivery of this Annual Report will not, under any circumstances, create any implication that there has been no change in the affairs of the School District. The School District is relying upon, and has not independently confirmed or verified, the accuracy or completeness of information provided by the others or other information incorporated by reference therein.

No statement contained in this Annual Report should be construed as a prediction or representation about future financial performance of the School District. Historical results presented herein may not be indicative of future operating results.

The information under the captions "Assessed Valuations", "Secured Tax Levies and Delinquencies" and "Largest Local Taxpayers" herein were obtained from California Municipal Statistics, Inc. Such information from California Municipal Statistics, Inc. is believed by the School District to be reliable but has not been independently verified by the School District. There can be no assurance as to the accuracy of such information and inquiries concerning such information should be directed to California Municipal Statistics, Inc. at 5460 College Avenue, Oakland, California 94618.

CONCLUDING STATEMENT

The financial information and operating data contained herein has been obtained from the School District and is fairly presented.

BAKERSFIELD CITY SCHOOL DISTRICT

A handwritten signature in blue ink, appearing to read "Sherry Slaw", written over a horizontal line.

Assistant Superintendent, Business Services

APPENDIX A
AUDITED FINANCIAL STATEMENTS



Agenda Item Details

Meeting	Dec 13, 2022 - Meeting of the Bakersfield City School District Board of Education
Category	H. Business Services
Subject	Annual Audit for the Fiscal Year Ending June 30, 2022 - Fiscal Impact: No
Access	Public
Type	Action
Recommended Action	It is recommended that the Annual Audit for the Fiscal Year ending June 30, 2022, be accepted and acknowledge receipt.

Public Content

Prepared by: Bea Corral, Director, Fiscal Services

Staff Analysis:

Each year, as required by Education Code Section 41020, in order to encourage sound fiscal management practice among school districts, the previous fiscal year completed is subject to audit. The firm of Eide Bailly, LLP has completed their audit of all funds and programs for the 2021/2022 fiscal year.

I. Summary of Auditor Results:

- The Independent Auditor's Report on the financial statements was unmodified.
 - No material weaknesses or significant deficiencies in internal control were identified in the audit of the financial statements.
- The Independent Auditor's Report on Compliance for Major Federal Programs was unmodified.
 - No material weaknesses or significant deficiencies in internal control were identified in the audit of the Federal Programs.
- The Independent Auditor's Report on State Compliance was unmodified for all programs.

II. Findings Relating to Financial Statements:

- None

III. Findings and Questioned Costs for Federal Awards:

- None

IV. Findings and Questioned Costs for State Compliance:

- None

[BOARD ITEM 12_13-22 ANNUAL AUDIT FOR FISCAL YEAR END 6-30-22.pdf \(1,174 KB\)](#)

Administrative Content

Executive Content

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Financial Statements
June 30, 2022

Bakersfield City School District

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Independent Auditor's Report

To the Governing Board
Bakersfield City School District
Bakersfield, California

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of the Bakersfield City School District as of and for the year ended June 30, 2022, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, each major fund, and the aggregate remaining fund information of the Bakersfield City School District, as of June 30, 2022, and the respective changes in financial position, and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Bakersfield City School District, and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Adoption of New Accounting Standard

As discussed in Notes 1 and 16 to the financial statements, the Bakersfield City School District has adopted the provisions of Government Accounting Standards Board (GASB) Statement No. 87, *Leases*, for the year ended June 30, 2022. Accordingly, a restatement has been made to the governmental activities net position as of July 1, 2021, to restate beginning net position. Our opinions are not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America; and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Bakersfield City School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bakersfield City School District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Bakersfield City School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, schedule of changes in the District's total OPEB liability and related ratios, schedule of the District's proportionate share of the net OPEB liability – MPP program, schedule of the District's proportionate share of the net pension liability, and the schedule of District contributions, be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Bakersfield City School District's basic financial statements. The schedule of expenditures of federal awards, as required by Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, combining non-major governmental fund financial statements, and other supplementary information listed in the table of contents are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of expenditures of federal awards, combining non-major governmental fund financial statements, and other supplementary information listed in the table of contents are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated November 28, 2022 on our consideration of Bakersfield City School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of Bakersfield City School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance

with *Government Auditing Standards* in considering Bakersfield City School District's internal control over financial reporting and compliance.

Eide Bailly LLP

Fresno, California
November 28, 2022

Mark Luque, Superintendent

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Board of Education

Lillian Tafoya, President
Laura Guerrero-Salgado, President Pro-Tem
Shannon Zimmerman, Clerk
Dr. Chris Cruz-Boone, Clerk Pro-Tem
Pam Baugher, Member

This section of the Bakersfield City School District's (the District) annual financial report presents our discussion and analysis of the District's financial performance during the fiscal year that ended on June 30, 2022, with comparative information for the fiscal year ended June 30, 2021. Please read it in conjunction with the District's financial statements, which immediately follow this section.

OVERVIEW OF THE FINANCIAL STATEMENTS

The Financial Statements

The financial statements presented herein include all of the activities of the District using the integrated approach as prescribed by Governmental Accounting Standards Board (GASB) Statement No. 34.

The *Government-Wide Financial Statements* present the financial picture of the District from the economic resources measurement focus using the accrual basis of accounting. They present governmental activities and business-type activities separately. These statements include all assets of the District (including capital assets), deferred outflows, as well as all liabilities (including long-term liabilities), and deferred inflows. Additionally, certain eliminations have occurred as prescribed by the statement in regards to interfund activity, payables, and receivables.

The *Fund Financial Statements* include statements for each of the two categories of activities: governmental and proprietary.

The *Governmental Funds* are prepared using the current financial resources measurement focus and modified accrual basis of accounting.

The *Proprietary Funds* are prepared using the economic resources measurement focus and the accrual basis of accounting.

Reconciliation of the Fund Financial Statements to the Government-Wide Financial Statements is provided to explain the differences created by the integrated approach.

The Primary unit of the government is the Bakersfield City School District.

REPORTING THE DISTRICT AS A WHOLE

The Statement of Net Position and the Statement of Activities

The Statement of Net Position and the Statement of Activities report information about the District as a whole and about its activities. These statements include all assets, deferred outflows, liabilities, and deferred inflows of the District using the accrual basis of accounting, which is similar to the accounting used by most private-sector companies. All of the current year's revenues and expenses are taken into account regardless of when cash is received or paid.

These two statements report the District's net position and changes in them. Net position is the difference between assets and liabilities, which is one way to measure the District's financial health, or financial position. Over time, increases or decreases in the District's net position will serve as a useful indicator of whether the financial position of the District is improving or deteriorating. Other factors to consider are changes in the District's property tax base and the condition of the District's facilities.

The relationship between revenues and expenses is the District's *operating results*. Since the governing board's responsibility is to provide services to our students and not to generate profit as commercial entities do, one must consider other factors when evaluating the overall health of the District. The quality of the education and the safety of our schools will likely be an important component in this evaluation.

In the Statement of Net Position and the Statement of Activities, we present the District activities as follows:

Governmental Activities - Most of the District's services are reported in this category. This includes the education of kindergarten through grade eight students, the operation of child development activities, and the on-going effort to improve and maintain buildings and sites. Property taxes, State income taxes, user fees, interest income, Federal, State, and local grants, as well as general obligation bonds, finance these activities.

REPORTING THE DISTRICT'S MOST SIGNIFICANT FUNDS

Fund Financial Statements

The fund financial statements provide detailed information about the most significant funds - not the District as a whole. Some funds are required to be established by State law and by bond covenants. However, management establishes many other funds to help it control and manage money for particular purposes or to show that it is meeting legal responsibilities for using certain taxes, grants, and other money that it receives from the U.S. Department of Education.

Governmental Funds - Most of the District's basic services are reported in governmental funds, which focus on how money flows into and out of those funds and the balances left at year-end that are available for spending. These funds are reported using an accounting method called modified accrual accounting, which measures cash and all other financial assets that can readily be converted to cash. The governmental fund statements provide a detailed short-term view of the District's general government operations and the basic services it provides. Governmental fund information helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. The differences of results in the governmental fund financial statements to those in the government-wide financial statements are explained in a reconciliation following the governmental fund financial statements.

Proprietary Funds - When the District charges users for the services it provides, whether to outside customers or to other departments within the District, these services are generally reported in proprietary funds. Proprietary funds are reported in the same way that all activities are reported in the Statement of Net Position and the Statement of Revenues, Expenses, and Changes in Fund Net Position. In fact, the District's enterprise funds are the same as the business-type activities we report in the government-wide statements, but provide more detail and additional information, such as cash flows, for proprietary funds. We use internal service funds (the other component of proprietary funds) to report activities that provide supplies and services for the District's other programs and activities, such as the District's Self-Insurance Funds. The internal service funds are reported with governmental activities in the government-wide financial statements.

FINANCIAL HIGHLIGHTS

- The District's financial status continues to remain solid. The District is able to meet all of its current needs and maintain an adequate reserve.
- Overall revenues for all governmental activities were \$568,260,692 which was \$76,518,176 more than expenditures.
- The General Fund balance increased \$48,657,149 excluding the impact of the consolidation of the Special Reserve Other Postemployment Benefits Fund and the Pupil Transportation Fund. The reserved nonspendable portion increased by \$1,585,920; the restricted portion increased by \$36,608,394; and the unassigned portion decreased by \$9,529,597.
- The District decreased the outstanding long-term liabilities by \$171,653,127; the decrease was primarily due to the changes in the other post-employment benefits and net pension liabilities.

THE DISTRICT AS A WHOLE

Net Position

The District's net position was \$(55,790,778) for the fiscal year ended June 30, 2022. Of this amount, \$79,151,751 was restricted. Restricted net position is reported separately to show legal constraints from debt covenants and enabling legislation that limits the governing board's ability to use net position for day-to-day operations. Our analysis below, in summary form, focuses on the net position (Table 1) and change in net position (Table 2) of the District's governmental activities.

Table 1

	Governmental Activities	
	2022	2021 as Restated
Assets		
Current and other assets	\$ 335,455,681	\$ 262,232,399
Capital assets	290,016,605	281,563,276
Right-to-use leased assets	3,570,245	2,017,468
Total assets	629,042,531	545,813,143
Deferred outflows of resources	102,857,046	127,923,767
Liabilities		
Current liabilities	59,162,541	61,585,999
Long-term liabilities	512,642,189	684,295,316
Total liabilities	571,804,730	745,881,315
Deferred inflows of resources	215,885,625	60,164,549
Net Position		
Net investment in capital assets	182,527,568	175,665,140
Restricted	79,151,751	47,184,361
Unrestricted (deficit)	(317,470,097)	(355,158,455)
Total net position (deficit)	\$ (55,790,778)	\$ (132,308,954)

The \$(55,790,778) in net position of the governmental activities represents the accumulated results of all past years' operations. Unrestricted net position – the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation, or other legal requirements – increased by 10.6% (\$317,420,097) compared to (\$355,158,455).

Changes in Net Position

The results of this year's operations for the District as a whole are reported in the Statement of Activities. Table 2 takes the information from the Statement and rearranges the numbers slightly so you can see our total revenues for the year.

Table 2

	Governmental Activities	
	2022	2021*
Revenues		
Program revenues		
Charges for services	\$ 1,396,304	\$ 1,601,268
Operating grants and contributions	169,084,108	158,235,672
Capital grants and contributions	1,222,059	13,700,707
General revenues		
Federal and State aid not restricted	348,035,107	323,618,760
Property taxes	31,631,978	30,209,580
Other general revenues	16,891,136	9,589,578
Total revenues	<u>568,260,692</u>	<u>536,955,565</u>
Expenses		
Instruction-related	354,323,336	384,504,016
Pupil services	62,914,201	55,320,507
Administration	22,505,135	23,953,795
Plant services	40,654,624	37,492,604
All other services	11,345,220	10,405,489
Total expenses	<u>491,742,516</u>	<u>511,676,411</u>
Change in net position	<u>\$ 76,518,176</u>	<u>\$ 25,279,154</u>

* The revenues and expenses for fiscal year 2021 were not restated to show the effects of GASB 87 for comparative purposes.

Governmental Activities

As reported in the Statement of Activities, the cost of all of our governmental activities this year was \$491,742,516. However, the amount that our taxpayers ultimately financed for these activities through local taxes was only \$31,631,978 because the cost was paid by those who benefited from the programs totaling \$1,396,304 or by other governments and organizations who subsidized certain programs with grants and contributions totaling \$170,306,167. We paid for the remaining "public benefit" portion of our governmental activities with \$348,035,107 in Federal and State unrestricted and \$16,891,136 in other revenues, like interest, developer fees, and general entitlements.

In Table 3, we have presented the net cost of each of the District's largest functions: instruction related, pupil services, administration, plant services, and all other services. As discussed above, net cost shows the financial burden that was placed on the District's taxpayers by each of these functions. Providing this information allows our citizens to consider the cost of each function in comparison to the benefits they believe are provided by that function.

Table 3

	Total Cost of Services		Net Cost of Services	
	2022	2021*	2022	2021*
Instruction-related	\$ 354,323,336	\$ 384,504,016	\$ (218,064,109)	\$ (245,611,691)
Pupil services	62,914,201	55,320,507	(34,903,181)	(29,521,027)
Administration	22,505,135	23,953,795	(18,186,347)	(21,013,864)
Plant services	40,654,624	37,492,604	(38,971,765)	(33,765,149)
All other services	11,345,220	10,405,489	(9,914,643)	(8,227,033)
Total	<u>\$ 491,742,516</u>	<u>\$ 511,676,411</u>	<u>\$ (320,040,045)</u>	<u>\$ (338,138,764)</u>

* The total and net cost of services for fiscal year 2021 were not restated to show the effects of GASB 87 for comparative purposes.

THE DISTRICT'S FUNDS

As the District completed this year, our governmental funds reported a combined fund balance of \$231,814,713, which is an increase of \$72,015,407 from last year (Table 4).

Table 4

Governmental Fund	Balances and Activity			
	July 1, 2021	Revenues and Other Financing Sources	Expenditures and Other Financing Uses	June 30, 2022
General	\$ 123,701,215	\$ 548,394,237	\$ 499,993,690	\$ 172,101,762
Student Activities	128,415	192,777	173,851	147,341
Child Development	818,088	4,804,959	4,725,345	897,702
Cafeteria	3,926,187	25,575,112	23,209,529	6,291,770
Building	3,679,528	32,036,890	4,193,854	31,522,564
Capital Facilities	3,329,476	1,397,012	523,172	4,203,316
County School Facilities	17,811,908	1,280,523	9,010,349	10,082,082
Special Reserve Fund for Capital Outlay Projects	95,969	(3,022)	-	92,947
Bond Interest and Redemption	6,308,520	8,169,020	8,002,311	6,475,229
Total	<u>\$ 159,799,306</u>	<u>\$ 621,847,508</u>	<u>\$ 549,832,101</u>	<u>\$ 231,814,713</u>

The primary reasons for the changes are:

- a. Our General Fund is our principal operating fund. The fund balance in the General Fund increased \$48,400,547 to \$172,101,762. The total revenues increased \$58,624,537 over the prior year, primarily due to CARES Act funding the District received because of the COVID-19 pandemic. Spending on educational services increased as well but not at the same rate as revenues.
- b. Our special revenue funds reported a net increase of \$2,464,123. The increase was due primarily to the reimbursement rate per meal served for the National School Lunch program increasing.
- c. The fund balance in the Bond Interest and Redemption Fund increased \$166,709 due primarily to the premium proceeds received for the general obligation bonds issued during the year.
- d. The capital outlay funds showed a net increase of \$20,984,0278 due primarily from the \$33.0 million proceeds received for issuing a new series of general obligation bonds.

General Fund Budgetary Highlights

The difference between the original budget and the final amended budgeted expenditures was a decrease of \$38,285,279 or (7.152%), excluding the impact of the consolidation of the Pupil Transportation Fund and the Special Reserve Other Postemployment Benefits Fund, as summarized below:

\$32,478,854 or 6.068% decrease in Instructional Services
\$1,824,014 or 0.341% increase in Pupil Services
\$7,076,858 or 1.322% decrease in Plant Services
\$553,581 or 0.103% decrease in Other Supporting Services

Over the course of the year, the District revises its budget as it attempts to deal with unexpected changes in revenues and expenditures. The final amendment to the budget was adopted on September 27, 2022. A schedule showing the District's original and final budget amounts compared with amounts actually paid and received is provided in our annual report.

These budget amendments fall into the following categories:

- Budgets are revised when revisions are made to the enacted or proposed state budget.
- Budgets are revised when negotiations are completed.
- Final amounts for state and federal grants become available and budgets are revised mid-year.
- New grants become available.
- Final budget revisions are made to cover all areas of expenditures.

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets

At June 30, 2022, the District had \$293,586,850 in a broad range of capital assets (net of depreciation and amortization expenses), including land, buildings, furniture, equipment and leased assets. This amount represents a net increase (including additions, deductions, and depreciation) of \$10,006,106, or 3.52%, from last year (Table 5).

Table 5

	Governmental Activities	
	2022	2021 as Restated
Land and construction in progress	\$ 53,070,029	\$ 35,906,935
Buildings and improvements	225,449,747	234,329,345
Equipment	11,496,829	11,326,996
Leased assets	3,570,245	2,017,468
Total	<u>\$ 293,586,850</u>	<u>\$ 283,580,744</u>

This year's additions of \$25,774,995 included on-going construction projects, various site improvements, portable classrooms, various site modernization projects, vehicles and leased assets. General obligation bonds were issued to help finance on-going construction projects.

Several capital projects are planned for the 2022-2023 year. We anticipate capital additions to be \$5,362,585 for the 2022-2023 year. We present more detailed information about our capital assets in the Notes to Financial Statements.

Long-Term Liabilities

At the end of this year, the District had \$512,642,189 in long-term liabilities versus \$684,295,316 last year, a decrease of 25.0%. The outstanding liabilities consisted of:

Table 6

	Governmental Activities	
	2022	2021 as Restated
Long-Term Liabilities		
General obligation bonds	\$ 145,087,652	\$ 114,782,124
Unamortized premiums/(discounts)	4,142,218	3,294,727
Financed Purchases	2,037,764	2,166,318
Leases	3,586,133	2,033,630
Compensated absences	2,893,581	2,879,219
Claims liability	11,715,451	12,558,803
OPEB liability	110,300,526	117,230,021
Aggregate net pension liability	232,878,864	429,350,474
Total	<u>\$ 512,642,189</u>	<u>\$ 684,295,316</u>

The District's general obligation bond ratings continue to be "AA and Aa3" from Standard & Poor's and Moody's, respectively.

In addition, the District reported deferred outflows of resources from pension activities of \$84,919,160, and deferred inflows of resources from pension activities of \$163,529,416, which along with the aggregate net pension liability of \$232,878,864, had a negative impact on the District's net position of \$311,489,120.

We present more detailed information regarding our long-term liabilities in the Notes to Financial Statements.

FACTORS BEARING ON THE DISTRICT'S FUTURE

The primary source of revenue for the District is provided through the Local Control Funding Formula (LCFF) which provides funding to school districts based on a per student attendance rate. A 5.07% COLA was provided by the State on LCFF funding during the 2021-2022 fiscal year. In addition, the concentration grant component of the LCFF funding formula increased from 50% to 65% of the adjusted grade base grant. Due to the COVID-19 pandemic, District enrollment experienced a decrease of .17%, which led to a reduction in student attendance. As a result, of the lack of growth in student attendance, the District's LCFF enrollment and ADA for 2021-2022 remained flat at the 2019-2020 level. The flat enrollment was extended in the 2021-2022 school year.

Increases in operating costs from step-and-column increases, salary schedule increases, memorandums of understanding used to address off schedule payments/stipends, employer pension increases, minimum wage increases, increase in goods and supplies, and growing utility costs were outpaced by unintended budget savings resulting from a pause in supplemental services and programs during the 2021-2022 school year to comply with COVID-19 health and safety precautions.

One-time revenue sources continued to increase in 2021-2022 as a result of COVID-19 pandemic relief funding provided through the Federal and State governments to support the exceptional costs associated with responding to the COVID-19 virus.

The effects of the COVID-19 pandemic will continue to impact revenues and operating costs during the 2022-2023 fiscal year. The length and severity of the pandemic are significant factors in the District's future financial outlook as one-time operating costs will deplete and our enrollment levels continue to decline.

Moving forward to the 2022-2023 fiscal year and beyond, the District will continue to monitor enrollment trends to ensure district staffing and service delivery models are appropriately aligned to the student population served by the District.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, taxpayers, students, and investors and creditors with a general overview of the District's finances and to show the District's accountability for the money it receives. If you have questions about this report or need any additional financial information, contact the Bakersfield City School District, Fiscal Services Department, 1300 Baker Street, Bakersfield, California, 93305.

Bakersfield City School District
Statement of Net Position
June 30, 2022

	<u>Governmental Activities</u>
Assets	
Deposits and investments	\$ 278,448,234
Receivables	53,766,010
Prepaid expense	1,837,186
Stores inventories	1,404,251
Capital assets not depreciated	53,070,029
Capital assets, net of accumulated depreciation	236,946,576
Right-to-use leased assets, net of accumulated amortization	<u>3,570,245</u>
Total assets	<u>629,042,531</u>
Deferred Outflows of Resources	
Deferred outflows of resources related to OPEB	17,937,886
Deferred outflows of resources related to pensions	<u>84,919,160</u>
Total deferred outflows of resources	<u>102,857,046</u>
Liabilities	
Accounts payable	41,159,361
Unearned revenue	18,003,180
Long-term liabilities	
Long-term liabilities other than OPEB and pensions due within one year	5,589,672
Long-term liabilities other than OPEB and pensions due in more than one year	163,873,127
Net other postemployment benefits liability (OPEB)	110,300,526
Aggregate net pension liabilities	<u>232,878,864</u>
Total liabilities	<u>571,804,730</u>
Deferred Inflows of Resources	
Deferred inflows of resources related to OPEB	52,356,209
Deferred inflows of resources related to pensions	<u>163,529,416</u>
Total deferred inflows of resources	<u>215,885,625</u>
Net Position	
Net investment in capital assets	182,527,568
Restricted for	
Debt service	6,475,229
Capital projects	14,285,398
Educational programs	53,075,187
Child nutrition	5,168,596
Student activities	147,341
Unrestricted (deficit)	<u>(317,470,097)</u>
Total net position (deficit)	<u><u>\$ (55,790,778)</u></u>

Bakersfield City School District
Statement of Activities
Year Ended June 30, 2022

Functions/Programs	Expenses	Program Revenues			Net (Expenses) Revenues and Changes in Net Position Governmental Activities
		Charges for Services and Sales	Operating Grants and Contributions	Capital Grants and Contributions	
Governmental Activities					
Instruction	\$ 298,796,016	\$ 11,278	\$ 117,925,042	\$ 1,222,059	\$ (179,637,637)
Instruction-related activities					
Supervision of instruction	29,294,677	-	15,643,571	-	(13,651,106)
Instructional library, media, and technology	161,817	-	1,612	-	(160,205)
School site administration	26,070,826	-	1,455,665	-	(24,615,161)
Pupil services					
Home-to-school transportation	13,312,686	-	1,589,341	-	(11,723,345)
Food services	21,534,365	14,500	22,939,718	-	1,419,853
All other pupil services	28,067,150	42,425	3,425,036	-	(24,599,689)
Administration					
Data processing	5,288,804	-	175,529	-	(5,113,275)
All other administration	17,216,331	2,882	4,140,377	-	(13,073,072)
Plant services	40,654,624	548	1,682,311	-	(38,971,765)
Ancillary services	538,283	192,767	3,304	-	(342,212)
Community services	4,039,883	1,595	359,533	-	(3,678,755)
Enterprise services	255,299	34,219	(7,402)	-	(228,482)
Interest on long-term liabilities	5,469,627	-	-	-	(5,469,627)
Other outgo	1,042,128	1,096,090	(249,529)	-	(195,567)
Total governmental activities	<u>\$ 491,742,516</u>	<u>\$ 1,396,304</u>	<u>\$ 169,084,108</u>	<u>\$ 1,222,059</u>	<u>(320,040,045)</u>
General Revenues and Subventions					
Property taxes, levied for general purposes					25,286,923
Property taxes, levied for debt service					5,790,499
Taxes levied for other specific purposes					554,556
Federal and State aid not restricted to specific purposes					348,035,107
Interest and investment earnings					(5,187,076)
Special and extraordinary					2,348,193
Miscellaneous and unspent State entitlements					<u>19,730,019</u>
Subtotal, general revenues and subventions					<u>396,558,221</u>
Change in Net Position					76,518,176
Net Position - Beginning, as Restated					<u>(132,308,954)</u>
Net Position - Ending (Deficit)					<u>\$ (55,790,778)</u>

Bakersfield City School District

Balance Sheet – Governmental Funds

June 30, 2022

	General Fund	Building Fund	Non-Major Governmental Funds	Total Governmental Funds
Assets				
Deposits and investments	\$ 173,792,809	\$ 32,690,693	\$ 25,748,909	\$ 232,232,411
Receivables	48,381,880	91,372	5,251,959	53,725,211
Due from other funds	4,919,269	3,321	1,257,926	6,180,516
Prepaid expenditures	1,837,186	-	-	1,837,186
Stores inventories	281,947	-	1,122,304	1,404,251
Total assets	\$ 229,213,091	\$ 32,785,386	\$ 33,381,098	\$ 295,379,575
Liabilities and Fund Balances				
Liabilities				
Accounts payable	\$ 38,302,211	\$ 116,278	\$ 2,740,872	\$ 41,159,361
Due to other funds	810,202	1,146,544	2,445,575	4,402,321
Unearned revenue	17,998,916	-	4,264	18,003,180
Total liabilities	57,111,329	1,262,822	5,190,711	63,564,862
Fund Balances				
Nonspendable	2,187,997	-	1,123,174	3,311,171
Restricted	52,177,485	31,522,564	26,974,266	110,674,315
Committed	7,018,696	-	-	7,018,696
Assigned	40,129,297	-	92,947	40,222,244
Unassigned	70,588,287	-	-	70,588,287
Total fund balances	172,101,762	31,522,564	28,190,387	231,814,713
Total liabilities and fund balances	\$ 229,213,091	\$ 32,785,386	\$ 33,381,098	\$ 295,379,575

Bakersfield City School District
Reconciliation of the Governmental Funds Balance Sheet to the Statement of Net Position
June 30, 2022

Total Fund Balance - Governmental Funds		\$ 231,814,713
Amounts Reported for Governmental Activities in the Statement of Net Position are Different Because		
Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in governmental funds.		
The cost of capital assets is	\$ 448,746,332	
Accumulated depreciation is	<u>(158,729,727)</u>	
Net capital assets		290,016,605
Right-to-use leased assets used in governmental activities are not financial resources and, therefore, are not reported as assets in governmental funds.		
The cost of right-to-use leased assets is	7,371,040	
Accumulated amortization is	<u>(3,800,795)</u>	
Net right-to-use leased assets		3,570,245
An internal service fund is used by management to charge the costs of the workers' compensation insurance program to the individual funds. The assets and liabilities of the internal service fund are included with governmental activities in the statement of net position.		
		32,762,976
Deferred outflows of resources represent a consumption of net position in a future period and is not reported in the governmental funds. Deferred outflows of resources amounted to and related to		
Other postemployment benefits (OPEB)	17,937,886	
Net pension liability	<u>84,919,160</u>	
Total deferred outflows of resources		102,857,046
Deferred inflows of resources represent an acquisition of net position that applies to a future period and is not reported in the governmental funds. Deferred inflows of resources amount to and related to		
Other postemployment benefits (OPEB)	(52,356,209)	
Net pension liability	<u>(163,529,416)</u>	
Total deferred inflows of resources		(215,885,625)
Net pension liability is not due and payable in the current period, and is not reported as a liability in the funds.		
		(232,878,864)
The District's OPEB liability is not due and payable in the current period, and is not reported as a liability in the funds.		
		(110,300,526)

Bakersfield City School District
Reconciliation of the Governmental Funds Balance Sheet to the Statement of Net Position
June 30, 2022

Long-term liabilities are not due and payable in the current period and, therefore, are not reported as liabilities in the funds.

Long-term liabilities at year-end consist of

General obligation bonds	(136,973,837)
Financed purchases	(2,037,764)
Leases	(3,586,133)
Compensated absences (vacations)	(2,893,581)

In addition, capital appreciation general obligation bonds were issued. The accretion of interest to date on the general obligation bonds is

(12,256,033)

Total long-term liabilities	<u>(157,747,348)</u>
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Total net position - governmental activities (deficit)	<u><u>\$ (55,790,778)</u></u>
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Bakersfield City School District
Statement of Revenues, Expenditures, and Changes in Fund Balances – Governmental Funds
Year Ended June 30, 2022

	General Fund	Building Fund	Non-Major Governmental Funds	Total Governmental Funds
Revenues				
Local Control Funding Formula	\$ 366,355,341	\$ -	\$ -	\$ 366,355,341
Federal sources	73,437,268	-	25,896,019	99,333,287
Other State sources	107,220,440	-	7,217,259	114,437,699
Other local sources	(1,584,435)	(963,110)	7,180,959	4,633,414
Total revenues	545,428,614	(963,110)	40,294,237	584,759,741
Expenditures				
Current				
Instruction	314,432,137	-	3,931,912	318,364,049
Instruction-related activities				
Supervision of instruction	32,551,351	-	276,171	32,827,522
Instructional library, media, and technology	186,017	-	-	186,017
School site administration	28,532,732	-	75,193	28,607,925
Pupil services				
Home-to-school transportation	16,374,128	-	-	16,374,128
Food services	162,158	-	21,905,095	22,067,253
All other pupil services	30,326,387	-	-	30,326,387
Administration				
Data processing	5,416,411	-	-	5,416,411
All other administration	16,047,552	-	813,444	16,860,996
Plant services	43,356,621	-	687,353	44,043,974
Ancillary services	406,534	-	173,851	580,385
Community services	4,219,617	-	-	4,219,617
Other outgo	966,228	75,900	-	1,042,128
Enterprise services	388	-	264,205	264,593
Facility acquisition and construction	6,835,090	3,733,298	9,515,022	20,083,410
Debt service				
Principal	128,554	-	4,285,000	4,413,554
Interest and other	51,785	384,656	3,717,311	4,153,752
Total expenditures	499,993,690	4,193,854	45,644,557	549,832,101
Excess (Deficiency) of Revenues Over Expenditures	45,434,924	(5,156,964)	(5,350,320)	34,927,640
Other Financing Sources				
Proceeds from the sale of bonds	-	33,000,000	1,122,144	34,122,144
Proceeds from leases	2,965,623	-	-	2,965,623
Total Financing Sources	2,965,623	33,000,000	1,122,144	37,087,767
Net Change in Fund Balances	48,400,547	27,843,036	(4,228,176)	72,015,407
Fund Balance - Beginning	123,701,215	3,679,528	32,418,563	159,799,306
Fund Balance - Ending	\$ 172,101,762	\$ 31,522,564	\$ 28,190,387	\$ 231,814,713

Bakersfield City School District

Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2022

Total Net Change in Fund Balances - Governmental Funds \$ 72,015,407

Amounts Reported for Governmental Activities in the Statement of Activities are Different Because

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures; however, for governmental activities, those costs are shown in the Statement of Net Position and allocated over their estimated useful lives as annual depreciation and amortization expenses in the Statement of Activities.

This is the amount by which capital outlays exceed depreciation and amortization expenses in the period.

Depreciation and amortization expenses

\$ (15,440,043)

Capital outlays

25,774,995

Net expense adjustment

10,334,952

The District issued capital appreciation general obligations bonds. This is the total accretion of interest on the general obligation bonds during the current fiscal year.

(1,590,528)

Loss on disposal of capital assets is reported in the government-wide Statement of Net Position, but is not recorded in the governmental funds.

(328,846)

Lease agreements were entered into for right-to-use assets. The present value of these leases is reported in the governmental funds as a source. On the other hand, the leases are not revenues in the Statement of Activities, but rather constitute long-term liabilities in the Statement of Net Position.

(2,965,623)

In the Statement of Activities, certain operating expenses, such as compensated absences (vacations) are measured by the amounts earned during the year. In the governmental funds, however, expenditures for these items are measured by the amount of financial resources used (essentially, the amounts actually paid). This amount is the difference between vacation earned and used.

(14,362)

In the governmental funds, pension costs are based on employer contributions made to pension plans during the year. However, in the Statement of Activities, pension expense is the net effect of all changes in the deferred outflows, deferred inflows and net pension liability during the year.

23,936,826

Bakersfield City School District

Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2022

In the governmental funds, OPEB costs are based on employer contributions made to OPEB plans during the year. However, in the Statement of Activities, OPEB expense is the net effect of all changes in the deferred outflows, deferred inflows, and net OPEB liability during the year.	(1,323,518)
Proceeds received from general obligation bonds or certificates of participation are a revenue in the governmental funds, but increase long-term liabilities in the Statement of Net Position and do not affect the Statement of Activities.	(33,000,000)
Governmental funds report the effect of premiums, discounts, and the deferred charge on refunding when the debt is first issued, whereas the amounts are deferred and amortized in the Statement of Activities.	
Premium on issuance recognized	(1,122,144)
Premium amortization	326,453
Discount amortization	(51,800)
Payment of principal on long-term liabilities is an expenditure in the governmental funds, but it reduces long-term liabilities in the Statement of Net Position and does not affect the Statement of Activities.	
General obligation bonds	4,285,000
Financed purchases	128,554
Leases	1,413,120
An internal service fund is used by management to charge the costs of the self insurance program to the individual funds. The net revenue of the Internal Service Fund is reported with governmental activities.	<u>4,474,685</u>
Change in net position of governmental activities	<u><u>\$ 76,518,176</u></u>

Bakersfield City School District
Statement of Net Position – Proprietary Funds
June 30, 2022

	Governmental Activities Internal Service Funds		
	Self Insurance Workers' Compensation Fund	Self Insurance Healthcare Fund	Total
Assets			
Current assets			
Deposits and investments	\$ 13,793,079	\$ 32,422,744	\$ 46,215,823
Receivables	33,688	7,111	40,799
Due from other funds	695,497	-	695,497
Total current assets	14,522,264	32,429,855	46,952,119
Liabilities			
Current liabilities			
Due to other funds	2,447,477	26,215	2,473,692
Noncurrent liabilities			
Claims liabilities	6,726,917	4,988,534	11,715,451
Total liabilities	9,174,394	5,014,749	14,189,143
Net Position			
Restricted for insurance claims	5,347,870	27,415,106	32,762,976
Total net position	\$ 5,347,870	\$ 27,415,106	\$ 32,762,976

Bakersfield City School District
Statement of Revenues, Expenses, and Changes in Fund Net Position – Proprietary Funds
Year Ended June 30, 2022

	Governmental Activities Internal Service Funds		
	Self Insurance Workers' Compensation Fund	Self Insurance Healthcare Fund	Total
Operating Revenues			
Charges for services	\$ 2,234,787	\$ 62,507,028	\$ 64,741,815
Refunds and miscellaneous revenues	152,572	6,881,439	7,034,011
Total operating revenues	2,387,359	69,388,467	71,775,826
Operating Expenses			
Payments for claims	1,307,665	61,804,279	63,111,944
Direct costs for interfund services	71,557	107,335	178,892
Contracted services	920,612	2,595,979	3,516,591
Total operating expenses	2,299,834	64,507,593	66,807,427
Operating Income	87,525	4,880,874	4,968,399
Nonoperating Revenues			
Fair market value adjustments	(256,284)	(384,425)	(640,709)
Interest income	121,373	25,622	146,995
Total nonoperating revenues	(134,911)	(358,803)	(493,714)
Change in Net Position	(47,386)	4,522,071	4,474,685
Total Net Position - Beginning	5,395,256	22,893,035	28,288,291
Total Net Position - Ending	\$ 5,347,870	\$ 27,415,106	\$ 32,762,976

Bakersfield City School District
Statement of Cash Flows – Proprietary Funds
Year Ended June 30, 2022

	Governmental Activities Internal Service Funds		
	Self Insurance Workers' Compensation Fund	Self Insurance Healthcare Fund	Total
Operating Activities			
Cash receipts from operating funds	\$ 3,921,569	\$ 62,506,407	\$ 66,427,976
Cash receipts from refunds	152,572	6,881,439	7,034,011
Cash payments for claims	(1,606,068)	(62,337,228)	(63,943,296)
Cash payments for contracted services	(920,612)	(2,595,979)	(3,516,591)
Cash payments for interfund services used, including payments in lieu of taxes that are payments for, and equivalent to, services provided	(71,557)	(107,334)	(178,891)
Net Cash From Operating Activities	1,475,904	4,347,305	5,823,209
Investing Activities			
Interest on investments	117,727	24,663	142,390
Change in fair market value	(256,284)	(384,425)	(640,709)
Net Cash Used for Investing Activities	(138,557)	(359,762)	(498,319)
Net Change in Cash and Cash Equivalents	1,337,347	3,987,543	5,324,890
Cash and Cash Equivalents, Beginning	12,455,732	28,435,201	40,890,933
Cash and Cash Equivalents, Ending	\$ 13,793,079	\$ 32,422,744	\$ 46,215,823
Reconciliation of Operating Income to Net Cash From Operating Activities			
Operating Income	\$ 87,525	\$ 4,880,874	\$ 4,968,399
Changes in assets and liabilities			
Prepaid expenditures	-	12,000	12,000
Due from other fund	(516,812)	-	(516,812)
Due to other fund	2,203,594	(621)	2,202,973
Claims liabilities	(298,403)	(544,948)	(843,351)
Net Cash From Operating Activities	\$ 1,475,904	\$ 4,347,305	\$ 5,823,209

Note 1 - Summary of Significant Accounting Policies

Financial Reporting Entity

The Bakersfield City School District (the District) was established in 1882 under the laws of the State of California. The District operates under a locally elected five-member Board form of government and provides educational services to grades PreK - 8 as mandated by the State and/or Federal agencies. The District operates 34 elementary schools, six middle schools, three junior high schools, one community day school, and two alternative sites for special education.

A reporting entity is comprised of the primary government and other organizations that are included to ensure the financial statements are not misleading. The primary government of the District consists of all funds, departments, boards, and agencies that are not legally separate from the District. For Bakersfield City School District, this includes general operations, food service, and student related activities of the District.

Basis of Presentation - Fund Accounting

The accounting system is organized and operated on a fund basis. A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts, which are segregated for the purpose of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations. The District's funds are grouped into two broad fund categories which are governmental and proprietary.

Governmental Funds Governmental funds are those through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses, and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets and liabilities is reported as fund balance. The following are the District's major and non-major governmental funds:

Major Governmental Funds

General Fund The General Fund is the chief operating fund for all districts. It is used to account for the ordinary operations of the District. All transactions except those accounted for in another fund are accounted for in this fund.

Two funds currently defined as special revenue funds in the California State Accounting Manual (CSAM) do not meet the GASB Statement No. 54 special revenue fund definition. Specifically, Fund 20, Special Reserve Other Postemployment Benefits Fund, and Fund 15, Pupil Transportation Fund, are not substantially composed of restricted or committed revenue sources. While these funds are authorized by statute and will remain open for internal reporting purposes, these funds function effectively as extensions of the General Fund, and accordingly have been combined with the General Fund for presentation in these audited financial statements.

Building Fund The Building Fund exists primarily to account separately for proceeds from the sale of bonds (*Education Code* Section 15146) and may not be used for any purposes other than those for which the bonds were issued.

Non-Major Governmental Funds

Special Revenue Funds The Special Revenue funds are used to account for the proceeds from specific revenue sources (other than trusts, major capital projects, or debt service) that are restricted or committed to the financing of particular activities, that compose a substantial portion of the inflows of the fund, and that are reasonably expected to continue. Additional resources that are restricted, committed, or assigned to the purpose of the fund may also be reported in the fund.

- **Student Activities Fund** The Student Activities Fund is used to account separately for the operating activities of the associated student body accounts that are not fiduciary in nature, including student clubs, general operations, athletics, and other student body activities.
- **Child Development Fund** The Child Development Fund is used to account separately for Federal, State, and local revenues to operate child development programs and is to be used only for expenditures for the operation of child development programs.
- **Cafeteria Fund** The Cafeteria Fund is used to account separately for Federal, State, and local resources to operate the food service program (*Education Code* Sections 38090-38093) and is used only for those expenditures authorized by the governing board as necessary for the operation of the District's food service program (*Education Code* Sections 38091 and 38100).

Capital Project Funds The Capital Project funds are used to account for financial resources to be used for the acquisition or construction of major capital facilities and other capital assets (other than those financed by proprietary funds and trust funds).

- **Capital Facilities Fund** The Capital Facilities Fund is used primarily to account separately for monies received from fees levied on developers or other agencies as a condition of approval (*Education Code* Sections 17620-17626 and *Government Code* Section 65995 et seq.). Expenditures are restricted to the purposes specified in *Government Code* Sections 65970-65981 or to the items specified in agreements with the developer (*Government Code* Section 66006).
- **County School Facilities Fund** The County School Facilities Fund is established pursuant to *Education Code* Section 17070.43 to receive apportionments from the 1998 State School Facilities Fund (Proposition 1A), the 2002 State School Facilities Fund (Proposition 47), the 2004 State School Facilities Fund (Proposition 55), the 2006 State School Facilities Fund (Proposition 1D), or the 2016 State School Facilities Fund (Proposition 51) authorized by the State Allocation Board for new school facility construction, modernization projects, and facility hardship grants, as provided in the Leroy F. Greene School Facilities Act of 1998 (*Education Code* Section 17070 et seq.).
- **Special Reserve Fund for Capital Outlay Projects** The Special Reserve Fund for Capital Outlay Projects exists primarily to provide for the accumulation of General Fund monies for capital outlay purposes (*Education Code* Section 42840).

Debt Service Funds The Debt Service funds are used to account for the accumulation of resources for, and the payment of, principal and interest on general long-term liabilities.

- **Bond Interest and Redemption Fund** The Bond Interest and Redemption Fund is used for the repayment of bonds issued for a district (*Education Code* Sections 15125-15262).

Proprietary Funds Proprietary funds are used to account for activities that are more business-like than government-like in nature. Proprietary funds include those for which a fee is charged to external users or to other organizational units of the local education agency, normally on a full cost-recovery basis. Proprietary funds are generally intended to be self-supporting and are classified as enterprise or internal service. The District has the following proprietary funds:

- **Internal Service Funds** Internal Service funds may be used to account for goods or services provided to other funds of the District on a cost-reimbursement basis. The District operates a Self-Insurance Workers' Compensation Fund and a Self-Insurance Healthcare Fund that are accounted for as internal service funds.

Basis of Accounting - Measurement Focus

Government-Wide Financial Statements The government-wide financial statements are prepared using the economic resources measurement focus and the accrual basis of accounting. This is the same approach used in the preparation of the proprietary fund financial statements, but differs from the manner in which governmental fund financial statements are prepared.

The government-wide statement of activities presents a comparison between expenses, both direct and indirect, of the District and for each governmental function, and exclude fiduciary activity. Direct expenses are those that are specifically associated with a service, program, or department and are therefore, clearly identifiable to a particular function. The District does not allocate indirect expenses to functions in the Statement of Activities, except for depreciation and amortization of leased assets. Program revenues include charges paid by the recipients of the goods or services offered by the programs and grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues are presented as general revenues. The comparison of program revenues and expenses identifies the extent to which each program or business segment is self-financing or draws from the general revenues of the District. Eliminations have been made to minimize the double counting of internal activities.

Net position should be reported as restricted when constraints placed on net position are either externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments or imposed by law through constitutional provisions or enabling legislation. The net position restricted for other activities result from special revenue funds and the restrictions on their use.

Fund Financial Statements Fund financial statements report detailed information about the District. The focus of governmental and proprietary fund financial statements is on major funds rather than reporting funds by type. Each major fund is presented in a separate column. Non-major governmental funds are aggregated and presented in a single column. The internal service funds are presented in two columns on the face of the proprietary fund statements.

- **Governmental Funds** All governmental funds are accounted for using the flow of current financial resources measurement focus and the modified accrual basis of accounting. With this measurement focus, only current assets and current liabilities generally are included on the balance sheet. The statement of revenues, expenditures, and changes in fund balances reports on the sources (revenues and other financing sources) and uses (expenditures and other financing uses) of current financial resources. This approach differs from the manner in which the governmental activities of the government-wide financial statements are prepared. Governmental fund financial statements, therefore, include reconciliations with brief explanations to better identify the relationship between the government-wide financial statements, prepared using the economic resources measurement focus and the accrual basis of accounting, and the governmental fund financial statements, prepared using the flow of current financial resources measurement focus and the modified accrual basis of accounting.
- **Proprietary Funds** Proprietary funds are accounted for using the flow of economic resources measurement focus and the accrual basis of accounting. All assets and all liabilities associated with the operation of this fund are included in the statement of net position. The statement of changes in fund net position presents increases (revenues) and decreases (expenses) in net total position. The statement of cash flows provides information about how the District finances and meets the cash flow needs of its proprietary funds.

Revenues – Exchange and Non-Exchange Transactions Revenue resulting from exchange transactions, in which each party gives and receives essentially equal value, is recorded on the accrual basis when the exchange takes place. On a modified accrual basis, revenue is recorded in the fiscal year in which the resources are measurable and become available. Available means that the resources will be collected within the current fiscal year or are expected to be collected soon enough thereafter, to be used to pay liabilities of the current fiscal year. The District considers revenues to be available if they are collected within one year after year-end, except for property taxes, which are considered available if collected within 60 days. The following revenue sources are considered to be both measurable and available at fiscal year-end: State apportionments, interest, certain grants, and other local sources.

Non-exchange transactions, in which the District receives value without directly giving equal value in return, include property taxes, certain grants, entitlements, and donations. Revenue from property taxes is recognized in the fiscal year in which the taxes are received. Revenue from certain grants, entitlements, and donations is recognized in the fiscal year in which all eligibility requirements have been satisfied. Eligibility requirements include time and purpose restrictions. On a modified accrual basis, revenue from non-exchange transactions must also be available before it can be recognized.

Unearned Revenue Unearned revenues arise when resources are received by the District before it has a legal claim to them, such as when certain grants are received prior to the occurrence of qualifying expenditures. In the subsequent periods, when the District has a legal claim to the resources, the liability for unearned revenue is removed from the balance sheet and the revenue is recognized.

Expenses/Expenditures On the accrual basis of accounting, expenses are recognized at the time they are incurred. The measurement focus of governmental fund accounting is on decreases in net financial resources (expenditures) rather than expenses. Expenditures are generally recognized in the accounting period in which the related fund liability is incurred. Principal and interest on long-term liabilities, which has not matured, are recognized when paid in the governmental funds as expenditures. Allocations of costs, such as depreciation and

amortization expenses, are not recognized in the governmental funds but are recognized in the entity-wide statements.

Cash and Cash Equivalents

The District's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the date of acquisition. Cash equivalents also include cash with county treasury balances for purposes of the statement of cash flows.

Investments

Investments with original maturities greater than one year are stated at fair value. Fair value is estimated based on quoted market prices at year-end. All investments not required to be reported at fair value are stated at cost or amortized cost. Fair values of investments in county and State investment pools are determined by the program sponsor.

Prepaid Expenditures (Expenses)

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both the government-wide and fund financial statements. The cost of prepaid items is recorded as expenditures/expenses when consumed rather than when purchased.

Stores Inventories

Inventories consist of expendable food and supplies held for consumption. Inventories are stated at cost, on the first-in, first-out basis for food items and weighted average basis for supply items. The costs of inventory items are recorded as expenditures in the governmental funds.

Capital Assets and Depreciation

The accounting and reporting treatment applied to the capital assets associated with a fund are determined by its measurement focus. Capital assets are long-lived assets of the District. The District maintains a capitalization threshold of \$15,000. The District does not possess any infrastructure. Improvements are capitalized; the costs of normal maintenance and repairs that do not add to the value of the asset or materially extend an asset's life are not capitalized, but are expensed as incurred.

When purchased, such assets are recorded as expenditures in the governmental funds and capitalized in the government-wide statement of net position. The valuation basis for capital assets is historical cost, or where historical cost is not available, estimated historical cost based on replacement cost. Donated capital assets are capitalized at acquisition value on the date donated.

Depreciation is computed using the straight-line method. Estimated useful lives of the various classes of depreciable capital assets are as follows: buildings, 25 to 50 years; improvements, 10 to 35 years; equipment, 5 to 15 years.

The District records impairments of capital assets when it becomes probable that the carrying value of the assets will not be fully recovered over their estimated useful life. Impairments are recorded to reduce the carrying value of the assets to their net realizable value based on facts and circumstances in existence at the time of the determination. No impairments were recorded during the year ended June 30, 2022.

The District records the value of intangible right-to-use assets based on the underlying leased asset in accordance with GASB Statement No. 87, *Leases*. The right-to-use intangible asset is amortized each year for the term of the contract.

Interfund Balances

On fund financial statements, receivables and payables resulting from short-term interfund loans are classified as "interfund receivables/payables". These amounts are eliminated in the governmental activities column of the statement of net position.

Compensated Absences

Compensated absences are accrued as a liability as the benefits are earned. The entire compensated absence liability is reported on the government-wide statement of net position.

Sick leave is accumulated without limit for each employee at the rate of one day for each month worked. Leave with pay is provided when employees are absent for health reasons; however, the employees do not gain a vested right to accumulated sick leave. Employees are never paid for any sick leave balance at termination of employment or any other time. Therefore, the value of accumulated sick leave is not recognized as a liability in the District's financial statements. However, credit for unused sick leave is applicable to all classified school members who retire after January 1, 1999. At retirement, each member will receive .004 year of service credit for each day of unused sick leave. Credit for unused sick leave is applicable to all certificated employees and is determined by dividing the number of unused sick days by the number of base service days required to complete the last school year, if employed full-time.

Accrued Liabilities and Long-Term Liabilities

All payables, accrued liabilities, and long-term liabilities are reported in the government-wide and proprietary fund financial statements. In general, governmental fund payables and accrued liabilities that, once incurred, are paid in a timely manner and in full, from current financial resources are reported as liabilities of the governmental funds.

However, compensated absences, bonds and other long-term liabilities are recognized as liabilities in the entity-wide fund financial statements when due.

Debt Premiums and Discounts

In the government-wide financial statements, long-term liabilities are reported as liabilities in the statement of net position. Debt premiums and discounts are amortized over the life of the bonds using the straight-line method, which approximates the effective interest method.

In governmental fund financial statements, bond premiums and discounts, as well as debt issuance costs are recognized in the period the bonds are issued. The face amount of the debt is reported as other financing sources. Premiums received on debt issuance are also reported as other financing sources. Issuance costs, whether or not withheld from the actual debt proceeds, are reported as debt service expenditures in the period the bonds are issued.

Deferred Outflows/Inflows of Resources

In addition to assets, the Statement of Net Position also reports deferred outflows of resources. This separate financial statement element represents a consumption of net position that applies to a future period and so will not be recognized as an expense or expenditure until then. The District reports deferred outflows of resources for pension related items and for OPEB related items.

In addition to liabilities, the Statement of Net Position reports a separate section for deferred inflows of resources. This separate financial statement element represents an acquisition of net position that applies to a future period and so will not be recognized as revenue until then. The District reports deferred inflows of resources, for pension related items, and OPEB related items.

The deferred amounts related to pension and OPEB relate to differences between expected and actual earnings on investments, changes of assumptions, and other pension and OPEB related changes.

Pensions

For purposes of measuring the net pension liability and deferred outflows/inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the California State Teachers Retirement System (CalSTRS) and the California Public Employees' Retirement System (CalPERS) plan for schools (Plans) and additions to/deductions from the Plans' fiduciary net position have been determined on the same basis as they are reported by CalSTRS and CalPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Member contributions are recognized in the period in which they are earned. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid by the fund in which the employee worked.

Postemployment Benefits Other Than Pensions (OPEB)

For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB expense, information about the fiduciary net position of the District Plan and the CalSTRS Medicare Premium Payment (MPP) Program and additions to/deductions from the District Plan and the MPP's fiduciary net position have been determined on the same basis as they are reported by the District Plan and the MPP. For this purpose, the District Plan and the MPP recognizes benefit payments when due and payable in accordance with the benefit terms. Investments are reported at fair value, except for money market investments and participating interest-earning investment contracts that have a maturity at the time of purchase of one year or less, which are reported at cost. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund.

Leases

The District recognizes a lease liability and an intangible right-to-use lease asset (lease asset) in the government-wide financial statements. The District measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of lease payments made. The lease asset is initially measured as the initial amount of the lease liability, plus certain initial direct costs. Subsequently, the lease asset is amortized on a straight-line basis over the lease term.

Fund Balances - Governmental Funds

As of June 30, 2022, fund balances of the governmental funds are classified as follows:

Nonspendable - amounts that cannot be spent either because they are in nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted - amounts that can be spent only for specific purposes because of constitutional provisions or enabling legislation or because of constraints that are externally imposed by creditors, grantors, contributors, or the laws or regulations of other governments.

Committed - amounts that can be used only for specific purposes determined by a formal action of the governing board. The governing board is the highest level of decision-making authority for the District. Commitments may be established, modified, or rescinded only through resolutions or other action as approved by the governing board.

Assigned - amounts that do not meet the criteria to be classified as restricted or committed but that are intended to be used for specific purposes. Under the District's adopted policy, only the governing board or chief business officer/assistant superintendent of business services may assign amounts for specific purposes.

Unassigned - all other spendable amounts.

Spending Order Policy

When an expenditure is incurred for purposes for which both restricted and unrestricted fund balance is available, the District considers restricted funds to have been spent first. When an expenditure is incurred for which committed, assigned, or unassigned fund balances are available, the District considers amounts to have been spent first out of committed funds, then assigned funds, and finally unassigned funds, as needed, unless the governing board has provided otherwise in its commitment or assignment actions.

Minimum Fund Balance Policy

The governing board adopted a minimum fund balance policy for the General Fund in order to protect the District against revenue shortfalls or unpredicted one-time expenditures. The policy requires a Reserve for Economic Uncertainties consisting of unassigned amounts equal to no less than three percent of General Fund expenditures and other financing uses.

Net Position

Net position represents the difference between assets and deferred outflows of resources, and liabilities and deferred inflows of resources. Net position net of investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction, or improvement of those assets. Net position is reported as restricted when there are limitations imposed on their use either through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors, or laws or regulations of other governments. The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position is available. The government-wide financial statements report \$79,151,751 of restricted net position.

Operating Revenues and Expenses

Operating revenues are those revenues that are generated directly from the primary activity of the proprietary funds. For the District, these revenues are premiums charged to the operating funds to support the health and welfare and workers' compensation coverage. Operating expenses are necessary costs incurred to provide the good or service that is the primary activity of the fund. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Estimates

The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Property Tax

Secured property taxes attach as an enforceable lien on property as of January 1. Taxes are payable in two installments on November 1 and February 1 and become delinquent on December 10 and April 10, respectively. Unsecured property taxes are payable in one installment on or before August 31. The County of Kern bills and collects the taxes on behalf of the District. Local property tax revenues are recorded when received.

Change in Accounting Principles**Implementation of GASB Statement No. 87**

As of July 1, 2021, the County adopted GASB Statement No. 87, *Leases*. The implementation of this standard establishes a single model for lease accounting based on the foundational principle that leases are financings of the right-to-use an underlying asset. The standard requires recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. The effect of the implementation of this standard on beginning net position is disclosed in Note 16 and the additional disclosures required by this standard is included in Notes 4 and 9.

Implementation of GASB Statement No. 92

In January 2020, the GASB issued Statement No. 92, *Omnibus 2020*. The objectives of this statement are to enhance comparability in accounting and financial reporting and to improve the consistency of authoritative literature by addressing practice issues that have been identified during implementation and application of certain GASB Statements. This Statement addresses a variety of topics and includes specific provisions about the following:

- The effective date of Statement No. 87, Leases, and Implementation Guide No. 2019-3, Leases, for interim financial reporting
- Reporting of intra-entity transfers of assets between a primary government employer and a component unit defined benefit pension plan or defined benefit other postemployment benefit (OPEB) plan
- The applicability of Statement No. 73, Accounting and Financial Reporting for Pensions and Related Assets That Are Not within the Scope of GASB Statement No. 68, and Amendments to Certain Provisions of GASB Statements 67 and 68, as amended, and No. 74, Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans, as amended, to reporting assets accumulated for postemployment benefits
- The applicability of certain requirements of Statement No. 84, Fiduciary Activities, to postemployment benefit arrangements
- Measurement of liabilities (and assets, if any) related to asset retirement obligations (AROs) in a government acquisition
- Reporting by public entity risk pools for amounts that are recoverable from reinsurers or excess insurers
- Reference to nonrecurring fair value measurements of assets or liabilities in authoritative literature
- Terminology used to refer to derivative instruments

The requirements of this Statement are effective as follows:

- The requirements related to the effective date of Statement 87 and Implementation Guide 2019-3, reinsurance recoveries, and terminology used to refer to derivative instruments are effective upon issuance.
- The requirements related to intra-entity transfers of assets and those related to the applicability of Statements 73 and 74 are effective for fiscal years beginning after June 15, 2021.
- The requirements related to application of Statement 84 to postemployment benefit arrangements and those related to nonrecurring fair value measurements of assets or liabilities are effective for reporting periods beginning after June 15, 2021.
- The requirements related to the measurement of liabilities (and assets, if any) associated with AROs in a government acquisition are effective for government acquisitions occurring in reporting periods beginning after June 15, 2021.

The provisions of this Statement have been implemented as of June 30, 2022.

Implementation of GASB Statement No. 93

In March 2020, the GASB issued Statement No. 93, Replacement of Interbank Offered Rates. The objective of this Statement is to address those and other accounting and financial reporting implications that result from the replacement of an IBOR (Interbank Offered Rate). This Statement achieves that objective by:

- Providing exceptions for certain hedging derivative instruments to the hedge accounting termination provisions when an IBOR is replaced as the reference rate of the hedging derivative instrument's variable payment
- Clarifying the hedge accounting termination provisions when a hedged item is amended to replace the reference rate
- Clarifying that the uncertainty related to the continued availability of IBORs does not, by itself, affect the assessment of whether the occurrence of a hedged expected transaction is probable
- Removing LIBOR as an appropriate benchmark interest rate for the qualitative evaluation of the effectiveness of an interest rate swap
- Identifying a Secured Overnight Financing Rate and the Effective Federal Funds Rate as appropriate benchmark interest rates for the qualitative evaluation of the effectiveness of an interest rate swap
- Clarifying the definition of reference rate, as it is used in Statement 53, as amended
- Providing an exception to the lease modifications guidance in Statement 87, as amended, for certain lease contracts that are amended solely to replace an IBOR as the rate upon which variable payments depend.

The provisions of this Statement have been implemented as of June 30, 2022.

Note 2 - Deposits and Investments

Summary of Deposits and Investments

Deposits and investments as of June 30, 2022, are classified in the accompanying financial statements as follows:

Governmental funds	\$ 232,232,411
Proprietary funds	<u>46,215,823</u>
Total deposits and investments	<u><u>\$ 278,448,234</u></u>

Deposits and investments as of June 30, 2022, consist of the following:

Cash on hand and in banks	\$ 1,119,497
Cash in revolving	208,971
Investments	<u>277,119,766</u>
Total deposits and investments	<u><u>\$ 278,448,234</u></u>

Policies and Practices

The District is authorized under California *Government Code* to make direct investments in local agency bonds, notes, or warrants within the State; U.S. Treasury instruments; registered State warrants or treasury notes; securities of the U.S. Government, or its agencies; bankers acceptances; commercial paper; certificates of deposit placed with commercial banks and/or savings and loan companies; repurchase or reverse repurchase agreements; medium term corporate notes; shares of beneficial interest issued by diversified management companies, certificates of participation, obligations with first priority security; and collateralized mortgage obligations.

Investment in County Treasury - The District is considered to be an involuntary participant in an external investment pool as the District is required to deposit all receipts and collections of monies with their County Treasurer (*Education Code* Section 41001). The fair value of the District's investment in the pool is reported in the financial statements at amounts based upon the District's pro-rata share of the fair value provided by the County Treasurer for the entire portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by the County Treasurer, which is recorded on the amortized cost basis.

Investment in the State Investment Pool - The District is a voluntary participant in the Local Agency Investment Fund (LAIF) that is regulated by California *Government Code* Section 16429 under the oversight of the Treasurer of the State of California. The fair value of the District's investment in the Pool is reported in the accompanying financial statement at amounts based upon the District's pro-rata share of the fair value provided by LAIF for the entire LAIF portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by LAIF, which is recorded on the amortized cost basis.

General Authorizations

Limitations as they relate to interest rate risk, credit risk, and concentration of credit risk are indicated in the schedules below:

Authorized Investment Type	Maximum Remaining Maturity	Maximum Percentage of Portfolio	Maximum Investment in One Issuer
Local Agency Bonds, Notes, Warrants	5 years	None	None
Registered State Bonds, Notes, Warrants	5 years	None	None
U.S. Treasury Obligations	5 years	None	None
U.S. Agency Securities	5 years	None	None
Banker's Acceptance	180 days	40%	30%
Commercial Paper	270 days	25%	10%
Negotiable Certificates of Deposit	5 years	30%	None
Repurchase Agreements	1 year	None	None
Reverse Repurchase Agreements	92 days	20% of base	None
Medium-Term Corporate Notes	5 years	30%	None
Mutual Funds	N/A	20%	10%
Money Market Mutual Funds	N/A	20%	10%
Mortgage Pass-Through Securities	5 years	20%	None
County Pooled Investment Funds	N/A	None	None
Local Agency Investment Fund (LAIF)	N/A	None	None
Joint Powers Authority Pools	N/A	None	None

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. The District has a formal investment policy that limits investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates. The District manages its exposure to interest rate risk by investing in the County Pool which purchases a combination of shorter term and longer term investments and which also times cash flows from maturities so that a portion of the portfolio is maturing or coming close to maturity evenly over time as necessary to provide the cash flow and liquidity needed for operations. The District maintains an investment of \$277,119,561 in the Kern County Treasury Investment Pool that has an average weighted maturity of 580 days.

Segmented Time Distribution

Information about the sensitivity of the fair values of the District's investments to market interest rate fluctuations is provided by the following schedule that shows the distribution of the District's investments by maturity:

Investment Type	Reported Amount	12 Months or Less	13 - 36 Months	37 - 60 Months
County Pool	\$ 277,119,561	\$ 83,135,868	\$ 110,847,825	\$ 83,135,868
Local Agency Investment Fund (LAIF)	205	205	-	-
Total	<u>\$ 277,119,766</u>	<u>\$ 83,136,073</u>	<u>\$ 110,847,825</u>	<u>\$ 83,135,868</u>

Credit Risk

Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. The District's investment in LAIF is not required to be rated, nor has it been rated as of June 30, 2022.

Investment Type	Reported Amount	Minimum Legal Rating	Rating as of Year End				
			A-1+, A-1, AAA	AA+, AA	AA-	A+	Unrated
County Pool	\$ 277,119,561	N/A	\$ 79,810,434	\$ 174,862,443	\$ 13,855,978	\$ 1,108,478	\$ 7,482,228
Local Agency Investment Fund (LAIF)	205	N/A	-	-	-	-	205
Total	<u>\$ 277,119,766</u>		<u>\$ 79,810,434</u>	<u>\$ 174,862,443</u>	<u>\$ 13,855,978</u>	<u>\$ 1,108,478</u>	<u>\$ 7,482,433</u>

N/A – Not applicable

Custodial Credit Risk - Deposits

This is the risk that in the event of a bank failure, the District's deposits may not be returned to it. The District does not have a policy for custodial credit risk for deposits. However, the California *Government Code* requires that a financial institution secure deposits made by State or local governmental units by pledging securities in an undivided collateral pool held by a depository regulated under state law (unless so waived by the governmental unit). The market value of the pledged securities in the collateral pool must equal at least 110% of the total amount deposited by the public agency. California law also allows financial institutions to secure public deposits by pledging first trust deed mortgage notes having a value of 150% of the secured public deposits and letters of credit issued by the Federal Home Loan Bank of San Francisco having a value of 105% of the secured deposits. As of June 30, 2022, \$685,527 of the District's cash balance was exposed to custodial credit risk because it was uninsured and collateralized with securities held by the pledging financial institution's trust department or agent, but not in the name of the District. This amount may include funds held by fiscal agents for the District's food service program and its Self-Insurance Funds.

Note 3 - Receivables

Receivables at June 30, 2022, consist of intergovernmental grants, entitlements, interest and other local sources. All receivables are considered collectible in full.

	General Fund	Building Fund	Non-Major Governmental Funds	Governmental Funds Total	Proprietary Funds	Governmental Activities Total
Federal Government						
Categorical aid	\$ 43,170,729	\$ -	\$ 4,051,590	\$ 47,222,319	\$ -	\$ 47,222,319
State Government						
LCFF apportionment	4,515	-	-	4,515	-	4,515
State grants and entitlements	3,859,419	-	756,179	4,615,598	-	4,615,598
Local Sources	1,347,217	91,372	444,190	1,882,779	40,799	1,923,578
	<u>\$ 48,381,880</u>	<u>\$ 91,372</u>	<u>\$ 5,251,959</u>	<u>\$ 53,725,211</u>	<u>\$ 40,799</u>	<u>\$ 53,766,010</u>
Total						

Note 4 - Capital Assets

Capital asset activity for the fiscal year ended June 30, 2022, are as follows:

	Balance July 1, 2021 as Restated	Additions	Deductions	Balance June 30, 2022
Governmental Activities				
Capital assets not being depreciated				
Land	\$ 16,944,451	\$ -	\$ -	\$ 16,944,451
Construction in progress	18,962,484	19,967,800	(2,804,706)	36,125,578
Total capital assets not being depreciated	35,906,935	19,967,800	(2,804,706)	53,070,029
Capital assets being depreciated				
Land improvements	64,926,499	1,790,894	-	66,717,393
Buildings and improvements	287,764,221	1,013,811	(373,405)	288,404,627
Furniture and equipment	38,716,845	2,841,573	(1,004,135)	40,554,283
Total capital assets being depreciated	391,407,565	5,646,278	(1,377,540)	395,676,303
Total capital assets	427,314,500	25,614,078	(4,182,246)	448,746,332
Accumulated depreciation				
Land improvements	(21,214,685)	(2,998,043)	-	(24,212,728)
Buildings and improvements	(97,146,690)	(8,369,830)	56,975	(105,459,545)
Furniture and equipment	(27,389,849)	(2,659,324)	991,719	(29,057,454)
Total accumulated depreciation	(145,751,224)	(14,027,197)	1,048,694	(158,729,727)
Net depreciable capital assets	245,656,341	(8,380,919)	(328,846)	236,946,576
Right-to-use leased assets being amortized				
Buildings and improvements	2,488,765	2,434,569	-	4,923,334
Furniture and equipment	1,916,652	531,054	-	2,447,706
Total right-to-use leased assets being amortized	4,405,417	2,965,623	-	7,371,040
Accumulated amortization				
Buildings and improvements	(1,053,705)	(1,051,589)	-	(2,105,294)
Furniture and equipment	(1,334,244)	(361,257)	-	(1,695,501)
Total accumulated amortization	(2,387,949)	(1,412,846)	-	(3,800,795)
Net right-to-use leased assets	2,017,468	1,552,777	-	3,570,245
Governmental activities capital assets and right-to-use leased assets, net	\$ 283,580,744	\$ 13,139,658	\$ (3,133,552)	\$ 293,586,850

Bakersfield City School District

Notes to Financial Statements

June 30, 2022

Depreciation and amortization expenses were charged as a direct expense to governmental functions as follows:

Governmental Activities	
Instruction	\$ 12,715,224
Home-to-school transportation	27,398
Food services	20,027
Community services	5,023
Data processing	25,506
All other administration	1,539,828
Plant services	<u>1,107,037</u>
Total depreciation and amortization expenses - governmental activities	<u><u>\$ 15,440,043</u></u>

Note 5 - Interfund Transactions**Interfund Receivables/Payables (Due To/Due From)**

Interfund receivable and payable balances arise from interfund transactions and are recorded by all funds affected in the period in which transactions are executed. Interfund receivable and payable balances at June 30, 2022, between major and non-major governmental funds and internal service funds are as follows:

The General Fund owes the Cafeteria Non-Major Governmental Fund for insurance costs.	\$	1,776
The General Fund owes the Cafeteria Non-Major Governmental Fund for a postage correction.		3
The General Fund owes the Cafeteria Non-Major Governmental Fund for an equipment grant.		71,401
The General Fund owes the Cafeteria Non-Major Governmental Fund for unemployment insurance costs.		6,679
The General Fund owes the Cafeteria Non-Major Governmental Fund for June payroll.		34
The General Fund owes the Cafeteria Non-Major Governmental Fund for a payroll correction.		20,798
The General Fund owes the Cafeteria Non-Major Governmental Fund for an adjusted May EROD collection.		30
The General Fund owes the Building Fund for a June payroll correction.		21
The General Fund owes the Building Fund for a cancelled warrant.		3,300
The General Fund owes the Capital Facilities Non-Major Governmental Fund for a cancelled warrant.		2,250
The General Fund owes the Child Development Non-Major Governmental Fund for postage costs.		2
The General Fund owes the Child Development Non-Major Governmental Fund for unemployment insurance costs.		2,411
The General Fund owes the Self Insurance Fund for claim fees.		367,357
The General Fund owes the Self Insurance Fund for workers' compensation claims.		328,140
The General Fund owes the County School Facilities Non-Major Governmental Fund for warrant stop payments.		6,000
The Building Fund owes the County School Facilities Non-Major Governmental Fund for a reclassification transfer.		1,146,542
The Building Fund owes the General Fund for a County error.		2
The Cafeteria Non-Major Governmental Fund owes the General Fund for fuel costs.		2,576
The Cafeteria Non-Major Governmental Fund owes the General Fund for retiree benefit costs.		203,276
The Cafeteria Non-Major Governmental Fund owes the General Fund for unemployment insurance costs.		11,236
The Cafeteria Non-Major Governmental Fund owes the General Fund for workers' compensation costs.		18,489
The Cafeteria Non-Major Governmental Fund owes the General Fund for indirect costs.		609,541
The Cafeteria Non-Major Governmental Fund owes the General Fund for June payroll.		324
The Cafeteria Non-Major Governmental Fund owes the General Fund for Fresh Fruit and Vegetable Program costs.		7,542
The Cafeteria Non-Major Governmental Fund owes the General Fund for a temporary cash loan.		1,350,000
The Cafeteria Non-Major Governmental Fund owes the General Fund for outstanding payroll checks in the revolving fund.		3,764
The Cafeteria Non-Major Governmental Fund owes the General Fund for a County error.		9,020

Bakersfield City School District

Notes to Financial Statements

June 30, 2022

The Child Development Non-Major Governmental Fund owes the General Fund for retiree benefit costs.	40,378
The Child Development Non-Major Governmental Fund owes the General Fund for operating costs.	4,570
The Child Development Non-Major Governmental Fund owes the General Fund for workers' compensation costs.	5,980
The Child Development Non-Major Governmental Fund owes the General Fund for unemployment insurance costs.	3,738
The Child Development Non-Major Governmental Fund owes the General Fund for indirect costs.	172,663
The Child Development Non-Major Governmental Fund owes the General Fund for a cash correction.	1
The Child Development Non-Major Governmental Fund owes the General Fund for a County error.	1,458
The Child Development Non-Major Governmental Fund owes the General Fund for duplicating costs.	56
The Child Development Non-Major Governmental Fund owes the General Fund for curriculum lab costs.	243
The Child Development Non-Major Governmental Fund owes the General Fund for family literature materials.	629
The County School Facilities Non-Major Governmental Fund owes the General Fund for postage costs.	46
The County School Facilities Non-Major Governmental Fund owes the General Fund for a cash correction.	45
The Self Insurance Fund owes the General Fund for salary and benefit costs.	43,692
The Self Insurance Fund owes the General Fund for a claim settlement.	2,430,000
Total	\$ 6,876,013

Note 6 - Prepaid Expenditures (Expenses)

Prepaid expenditures (expenses) at June 30, 2022, consist of the following:

	General Fund
Instructional service agreements	<u>\$ 1,837,186</u>

Note 7 - Accounts Payable

Accounts payable at June 30, 2022, consist of the following:

	General Fund	Building Fund	Non-Major Governmental Funds	Total
Vendor payables	\$ 20,597,294	\$ 116,278	\$ 2,449,681	\$ 23,163,253
LCFF apportionment	2,237,665	-	-	2,237,665
Salaries and benefits	15,467,252	-	291,191	15,758,443
Total	<u>\$ 38,302,211</u>	<u>\$ 116,278</u>	<u>\$ 2,740,872</u>	<u>\$ 41,159,361</u>

Note 8 - Unearned Revenue

Unearned revenue at June 30, 2022, consists of the following:

	General Fund	Non-Major Governmental Funds	Total
Federal financial assistance	\$ 17,037,542	\$ -	\$ 17,037,542
State categorical aid	961,374	-	961,374
Other local	-	4,264	4,264
Total	<u>\$ 17,998,916</u>	<u>\$ 4,264</u>	<u>\$ 18,003,180</u>

Note 9 - Long-Term Liabilities Other Than OPEB and Pensions**Summary**

The changes in the District's long-term liabilities other than OPEB and pensions during the year consisted of the following:

	Balance July 1, 2021 as Restated	Additions	Deductions	Balance June 30, 2022	Due in One Year
Long-Term Liabilities					
General obligation bonds	\$ 114,782,124	\$ 34,590,528	\$ (4,285,000)	\$ 145,087,652	\$ 4,205,000
Unamortized debt premiums	3,946,071	1,122,144	(326,453)	4,741,762	-
Unamortized debt discounts	(651,344)	-	51,800	(599,544)	-
Financed purchases	2,166,318	-	(128,554)	2,037,764	131,749
Leases	2,033,630	2,965,623	(1,413,120)	3,586,133	1,252,923
Compensated absences	2,879,219	14,362	-	2,893,581	-
Claims liability, see Note 12	12,558,803	62,268,592	(63,111,944)	11,715,451	-
Total	<u>\$ 137,714,821</u>	<u>\$ 100,961,249</u>	<u>\$ (69,213,271)</u>	<u>\$ 169,462,799</u>	<u>\$ 5,589,672</u>

Payments on the general obligation bonds are made by the Bond Interest and Redemption Fund with local tax revenues. The premiums and discounts will be amortized over the life of the related debt. The financed purchases and the leases will be paid by the General Fund. The compensated absences will be paid by the fund for which the employee worked. The District is self insured for the claims liability which is funded through the District's Self Insurance Fund.

General Obligation Bonds

The outstanding general obligation bonded debt is as follows:

Series	Fiscal Year of Final Maturity	Interest Rate	Original Issue	Bonds Outstanding July 1, 2021	Issued	Interest Accreted	Redeemed	Bonds Outstanding June 30, 2022
Capital Appreciation Bonds:								
2012, C	2047	5.75-5.90	\$ 16,146,619	\$ 16,146,619	\$ -	\$ -	\$ -	\$ 16,146,619
Accreted interest on 2012 C bonds				10,665,505	-	1,590,528	-	12,256,033
2012, B	2033	4.39	18,050,000	16,635,000	-	-	(920,000)	15,715,000
2015, A	2032	2.00-5.00	25,930,000	21,870,000	-	-	(1,065,000)	20,805,000
2015, E	2039	4.656-5.00	12,770,000	11,945,000	-	-	(365,000)	11,580,000
2017, A	2047	3.00-5.50	22,000,000	17,120,000	-	-	(625,000)	16,495,000
2017, B	2049	2.00-5.00	22,000,000	20,400,000	-	-	(1,310,000)	19,090,000
2022, C	2052	2.50-5.00	33,000,000	-	33,000,000	-	-	33,000,000
Total				<u>\$ 114,782,124</u>	<u>\$ 33,000,000</u>	<u>\$ 1,590,528</u>	<u>\$ (4,285,000)</u>	<u>\$ 145,087,652</u>

Bakersfield City School District

Notes to Financial Statements

June 30, 2022

Debt Service Requirements to Maturity

The capital appreciation bonds mature as follows:

Bonds Maturing Fiscal Year	Initial Bond Value	Accreted Interest	Accreted Obligation	Unaccreted Interest	Maturity Value
2037	\$ 2,383,047	\$ 1,770,953	\$ 4,154,000	\$ 3,596,000	\$ 7,750,000
2042	5,196,108	3,905,616	9,101,724	7,968,276	17,070,000
2047	8,567,464	6,579,464	15,146,928	13,573,072	28,720,000
Total	<u>\$ 16,146,619</u>	<u>\$ 12,256,033</u>	<u>\$ 28,402,652</u>	<u>\$ 25,137,348</u>	<u>\$ 53,540,000</u>

The convertible bonds have the following mandatory early redemption requirements:

Fiscal Year	Principal	Interest to Maturity	Total
2032-2036	\$ 5,395,000	\$ 9,110,470	\$ 14,505,470
2037-2041	15,215,000	12,546,593	27,761,593
2042-2046	26,035,000	6,943,335	32,978,335
2047	6,895,000	406,805	7,301,805
Total	<u>\$ 53,540,000</u>	<u>\$ 29,007,203</u>	<u>\$ 82,547,203</u>

The current interest bonds mature as follows:

Fiscal Year	Principal	Interest to Maturity	Total
2023	\$ 4,205,000	\$ 4,370,269	\$ 8,575,269
2024	3,800,000	4,188,407	7,988,407
2025	3,880,000	4,005,507	7,885,507
2026	3,450,000	3,824,423	7,274,423
2027	4,025,000	3,646,051	7,671,051
2028-2032	27,930,000	15,211,677	43,141,677
2033-2037	15,820,000	9,934,008	25,754,008
2038-2042	13,945,000	7,105,866	21,050,866
2043-2047	18,460,000	4,583,545	23,043,545
2048-2052	21,170,000	1,542,790	22,712,790
Total	<u>\$ 116,685,000</u>	<u>\$ 58,412,543</u>	<u>\$ 175,097,543</u>

Financed Purchases

The District has entered into agreements to finance the purchase of a classroom portable and equipment. The District's liability on the agreements is summarized below:

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2023	\$ 131,749	\$ 48,591	\$ 180,340
2024	135,022	45,317	180,339
2025	138,378	41,962	180,340
2026	141,816	38,523	180,339
2027	145,340	34,999	180,339
2028-2032	782,700	118,997	901,697
2033-2037	562,759	23,343	586,102
Total	<u>\$ 2,037,764</u>	<u>\$ 351,732</u>	<u>\$ 2,389,496</u>

Leases

The District has entered into agreements to lease various facilities and equipment. The District's liability on lease agreements is summarized below:

<u>Lease</u>	<u>Leases Outstanding July 1, 2021</u>	<u>Addition</u>	<u>Payments</u>	<u>Leases Outstanding June 30, 2022</u>
Portable classrooms/restrooms	\$ 1,424,656	\$ 2,434,569	\$ (1,040,138)	\$ 2,819,087
High production copiers - 3 black and white and 3 color	608,974	531,054	(372,982)	767,046
Total	<u>\$ 2,033,630</u>	<u>\$ 2,965,623</u>	<u>\$ (1,413,120)</u>	<u>\$ 3,586,133</u>

Portable Classrooms and Restrooms

The District entered into several agreements (over 100) to lease portable classrooms and portable restrooms at various sites throughout the District, beginning 2017 through 2026. The leases begin and end at various dates between the years noted and are for an average of three to five years. Under the terms of the lease, the District will pay annual payments between \$3,520 and \$35,560; depending on size of the portable and how many are included in the specific lease. The annual interest rate charged on the lease is 3.0%. At June 30, 2022, the District has recognized right-to-use assets of \$4,923,334 and a total lease liability of \$2,819,087 related to these lease agreements. During the fiscal year, the District recorded \$1,051,589 in amortization expense and \$1,040,138 in principal and \$43,904 in interest payments for the right-to-use of the portables. The District also pays for lighting, heat, custodial and maintenance services for each portable, which is not included in the measurement of the lease liability as they are variable in nature.

High Production Copiers

The District entered an agreement to lease copiers for three and five years, beginning May 2022 and April 2017; respectively. Under the terms of the leases, the District will pay monthly payments of \$18,543 and 15,444, respectively. The monthly interest rate charged on the leases is 0.25%. At June 30, 2022, the District has recognized right-to-use assets of \$2,447,706 and a lease liability of \$767,046 related to these agreements. During the fiscal year, the District recorded \$361,257 in amortization expense and \$372,982 in principal and \$15,550 in interest payments for the right-to-use of the copiers. The District also pays for each additional copy in excess of the contracted amount, which are not included in the measurement of the lease liability as they are variable in nature.

The remaining principal and interest payment requirements for the lease obligation debt as of June 30, 2022 are as follows:

Year Ending June 30,	Principal	Interest	Total
2023	\$ 1,252,923	\$ 102,478	\$ 1,355,401
2024	1,045,284	65,458	1,110,742
2025	821,487	35,535	857,022
2026	466,439	13,236	479,675
Total	<u>\$ 3,586,133</u>	<u>\$ 216,707</u>	<u>\$ 3,802,840</u>

Compensated Absences

Compensated absences (unpaid employee vacation) for the District at June 30, 2022, amounted to \$2,893,581.

Note 10 - Other Postemployment Benefit (OPEB) Liability

For the fiscal year ended June 30, 2022, the District reported net OPEB liability, deferred outflows of resources, deferred inflows of resources, and OPEB expense for the following plans:

OPEB Plan	Net OPEB Liability	Deferred Outflows of Resources	Deferred Inflows of Resources	OPEB Expense
District Plan	\$ 108,549,032	\$ 17,937,886	\$ 52,356,209	\$ 6,071,450
Medicare Premium Payment (MPP) Program	1,751,494	-	-	(378,732)
Total	<u>\$ 110,300,526</u>	<u>\$ 17,937,886</u>	<u>\$ 52,356,209</u>	<u>\$ 5,692,718</u>

The details of each plan are as follows:

District Plan

Plan Administration

The District's governing board administers the Postemployment Benefits Plan (the Plan). The Plan is a single-employer defined benefit plan that is used to provide postemployment benefits other than pensions (OPEB) for eligible retirees and their spouses. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75.

Plan Membership

At June 30, 2021, the valuation date, the Plan membership consisted of the following:

Inactive employees or beneficiaries currently receiving benefits payments	236
Active employees	<u>2,942</u>
Total	<u><u>3,178</u></u>

Benefits Provided

The District's Retiree Health Insurance Program is a single-employer defined benefit postemployment healthcare plan administered by the Blue Cross Prudent Buyer Classic medical plan and the Navitus Health Solution prescription drug plan. For certificated members with a hire date prior to January 1, 2007 and classified members hired prior to June 1, 2007 (classified members who are part time and were hired prior to 1992 are counted as full-time members for eligibility), the District provides District-paid medical coverage for full-time employees who retire on or after attaining age 55 with at least ten years of service and are eligible to retire.

Contributions

The contribution requirements of Plan members and the District are established and may be amended by the District, the Bakersfield Elementary Teacher Association (BETA), the local California Service Employees Association (CSEA), and unrepresented groups. There are no required contributions over and above those needed to fund current premiums. For the measurement period of June 30, 2022, the District contributed \$4,369,200 to the Plan which was used for current premiums.

Total OPEB Liability of the District

The District's total OPEB liability of \$108,549,032 was measured as of June 30, 2022, and was determined by applying certain roll-forward to the June 30, 2021, valuation.

Actuarial Assumptions

The following assumptions were applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.50%
Salary increases	2.75%, average, including inflation
Discount rate	3.54%
Healthcare cost trend rates	4.00% trend change falls in line with experience gain in new valuation
Retirees' share of benefit-related costs	Retirees do not contribute towards premiums

The discount rate was based on the Bond Buyer 20-bond General Obligation Index.

The mortality assumptions are based on the 2020 CalSTRS Mortality table created by CalSTRS. CalSTRS periodically studies mortality for participating agencies and establishes mortality tables that are modified versions of commonly used tables. This table incorporates mortality projection as deemed appropriate based on CalSTRS analysis.

The mortality assumptions are based on the 2017 CalPERS Mortality for Miscellaneous and Schools Employees & 2017 CalPERS Retiree Mortality for All Employees tables created by CalPERS. CalPERS periodically studies mortality for participating agencies and establishes mortality tables that are modified versions of commonly used tables. These tables incorporate mortality projection as deemed appropriate based on CalPERS analysis.

The actuarial assumptions used in the June 30, 2021, valuation were based on the plan experience through June 30, 2021.

Changes in the Total OPEB Liability

	<u>Total OPEB Liability</u>
Balance, June 30, 2021	<u>\$ 115,099,795</u>
Service cost	8,344,926
Interest	2,529,093
Changes of assumptions or other inputs	(13,055,582)
Benefit payments	<u>(4,369,200)</u>
Net change in total OPEB liability	<u>(6,550,763)</u>
Balance, June 30, 2022	<u><u>\$ 108,549,032</u></u>

Changes in Benefit Terms - There were not changes in the benefit terms since the previous valuation.

Changes in Assumptions - The discount rate assumption was changed from 2.16% to 3.54%, and the inflation was changed from 2.75% to 2.50% since the previous measurement.

Sensitivity of the Total OPEB Liability to Changes in the Discount Rate

The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Total OPEB Liability
1% decrease (2.54%)	\$ 118,239,665
Current discount rate (3.54%)	108,549,032
1% increase (4.54%)	101,773,010

Sensitivity of the Total OPEB Liability to Changes in the Healthcare Cost Trend Rate

The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are one percent lower or higher than the current healthcare costs trend rate:

Healthcare Cost Trend Rate	Total OPEB Liability
1% decrease (3%)	\$ 95,113,215
Current healthcare cost trend rate (4%)	108,549,032
1% increase (5%)	124,029,811

OPEB Expense, Deferred Outflows of Resources, and Deferred Inflows of Resources Related to OPEB

For the year ended June 30, 2022, the District recognized OPEB expense of \$6,071,450. At June 30, 2022, the District reported deferred outflows of resources and deferred inflow of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 2,741,531	\$ 11,867,779
Changes of assumptions	15,196,355	40,488,430
Total	<u>\$ 17,937,886</u>	<u>\$ 52,356,209</u>

Amounts reported as deferred outflows and inflows of resources related to changes of assumptions and differences in the expected and actual experience will be amortized over the Expected Average Remaining Service Life (EARSL) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period and will be recognized in OPEB expense as follows:

<u>Year Ended June 30,</u>	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
2023	\$ 1,798,718	\$ 6,601,287
2024	1,798,718	6,601,287
2025	1,798,718	6,601,287
2026	1,798,718	6,269,548
2027	1,798,718	5,771,935
Thereafter	8,944,296	20,510,865
Total	<u>\$ 17,937,886</u>	<u>\$ 52,356,209</u>

Medicare Premium Payment (MPP) Program

Plan Description

The Medicare Premium Payment (MPP) Program is administered by the California State Teachers' Retirement System (CalSTRS). The MPP Program is a cost-sharing multiple-employer other postemployment benefit plan (OPEB) established pursuant to Chapter 1032, Statutes 2000 (SB 1435). CalSTRS administers the MPP Program through the Teachers' Health Benefits Fund (THBF).

A full description of the MPP Program regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2020 annual actuarial valuation report, Medicare Premium Payment Program Actuarial Valuation. This report and CalSTRS audited financial information are publicly available reports that can be found on the CalSTRS website under Publications at: <http://www.calstrs.com/member-publications>.

Benefits Provided

The MPP Program pays Medicare Part A premiums and Medicare Parts A and B late enrollment surcharges for eligible members of the State Teachers Retirement Plan (STRP) Defined Benefit (DB) Program who were retired or began receiving a disability allowance prior to July 1, 2012 and were not eligible for premium free Medicare Part A. The payments are made directly to the Centers for Medicare and Medicaid Services (CMS) on a monthly basis.

The MPP Program is closed to new entrants as members who retire after July 1, 2012, are not eligible for coverage under the MPP Program.

The MPP Program is funded on a pay-as-you go basis from a portion of monthly District benefit payments. In accordance with California *Education Code* Section 25930, contributions that would otherwise be credited to the DB Program each month are instead credited to the MPP Program to fund monthly program and administrative costs. Total redirections to the MPP Program are monitored to ensure that total incurred costs do not exceed the amount initially identified as the cost of the program.

Net OPEB Liability and OPEB Expense

At June 30, 2022, the District reported a liability of \$1,751,494 for its proportionate share of the net OPEB liability for the MPP Program. The net OPEB liability was measured as of June 30, 2021, and the total OPEB liability used to calculate the net OPEB liability was determined by an actuarial valuation as of June 30, 2020. The District's proportion of the net OPEB liability was based on a projection of the District's long-term share of contributions to the OPEB Plan relative to the projected contributions of all participating school districts, actuarially determined. The District's proportionate share for the measurement period June 30, 2021 and June 30, 2020, respectively, was 0.4391 percent and 0.5027 percent, resulting in a net decrease in the proportionate share of 0.0636 percent.

For the year ended June 30, 2022, the District recognized OPEB expense of \$(378,732).

Actuarial Methods and Assumptions

The June 30, 2021 total OPEB liability was determined by applying update procedures to the financial reporting actuarial valuation as of June 30, 2020, and rolling forward the total OPEB liability to June 30, 2021, using the assumptions listed in the following table:

Measurement Date	June 30, 2021	June 30, 2020
Valuation Date	June 30, 2020	June 30, 2019
Experience Study	July 1, 2015 through June 30, 2018	June 30, 2014 through June 30, 2018
Actuarial Cost Method	Entry age normal	Entry age normal
Investment Rate of Return	2.16%	2.21%
Medicare Part A Premium Cost Trend Rate	4.50%	4.50%
Medicare Part B Premium Cost Trend Rate	5.40%	5.40%

For the valuation as of June 30, 2020, CalSTRS uses a generational mortality assumption, which involves the use of a base mortality table and projection scales to reflect expected annual reductions in mortality rates at each age, resulting in increases in life expectancies each year into the future. The base mortality tables are CalSTRS custom tables derived to best fit the patterns of mortality among our members. The projection scale was set equal to 110% of the ultimate improvement factor from the Mortality Improvement Scale (MP-2019) table, issued by the Society of Actuaries.

Assumptions were made about future participation (enrollment) into the MPP Program because CalSTRS is unable to determine which members not currently participating meet all eligibility criteria for enrollment in the future. Assumed enrollment rates were derived based on past experience and are stratified by age with the probability of enrollment diminishing as the members' age increases. This estimated enrollment rate was then

applied to the population of members who may meet criteria necessary for eligibility and are not currently enrolled in the MPP Program. Based on this, the estimated number of future enrollments used in the financial reporting valuation was 245 or an average of 0.16% of the potentially eligible population (152,062).

The MPP Program is funded on a pay-as-you-go basis with contributions generally being made at the same time and in the same amount as benefit payments and expenses coming due. Any funds within the MPP Program as of June 30, 2021, were to manage differences between estimated and actual amounts to be paid and were invested in the Surplus Money Investment Fund, which is a pooled investment program administered by the State Treasurer.

Discount Rate

The discount rate used to measure the total OPEB liability as of June 30, 2021, is 2.16%. As the MPP Program is funded on a pay-as-you-go basis as previously noted, the OPEB Plan's fiduciary net position was not projected to be sufficient to make projected future benefit payments. Therefore, a discount rate of 2.16%, which is the Bond Buyer 20-Bond GO Index from Bondbuyer.com as of June 30, 2021, was applied to all periods of projected benefit payments to measure the total OPEB liability. The discount rate decreased 0.05% from 2.21% as of June 30, 2020.

Sensitivity of the District's Proportionate Share of the Net OPEB Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net OPEB liability calculated using the current discount rate, as well as what the net OPEB liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Net OPEB Liability
1% decrease (1.16%)	\$ 1,930,627
Current discount rate (2.16%)	1,751,494
1% increase (3.16%)	1,598,442

Sensitivity of the District's Proportionate Share of the Net OPEB Liability to Changes in the Medicare Costs Trend Rates

The following presents the District's proportionate share of the net OPEB liability calculated using the Medicare costs trend rates, as well as what the net OPEB liability would be if it were calculated using Medicare costs trend rates that are one percent lower or higher than the current rates:

Medicare Costs Trend Rates	Net OPEB Liability
1% decrease (3.50% Part A and 4.40% Part B)	\$ 1,592,779
Current Medicare costs trend rate (4.50% Part A and 5.40% Part B)	1,751,494
1% increase (5.50% Part A and 6.40% Part B)	1,933,455

Bakersfield City School District

Notes to Financial Statements

June 30, 2022

Note 11 - Fund Balances

Fund balances are composed of the following elements:

	General Fund	Building Fund	Non-Major Governmental Funds	Total
Nonspendable				
Revolving cash	\$ 68,864	\$ -	\$ 870	\$ 69,734
Stores inventories	281,947	-	1,122,304	1,404,251
Prepaid expenditures	1,837,186	-	-	1,837,186
Total nonspendable	2,187,997	-	1,123,174	3,311,171
Restricted				
Legally restricted programs	52,177,485	-	-	52,177,485
Student activities	-	-	147,341	147,341
Childcare programs	-	-	897,702	897,702
Food service	-	-	5,168,596	5,168,596
Capital projects	-	31,522,564	14,285,398	45,807,962
Debt service	-	-	6,475,229	6,475,229
Total restricted	52,177,485	31,522,564	26,974,266	110,674,315
Committed				
Other postemployment benefits	7,018,696	-	-	7,018,696
Assigned				
Pupil transportation	7,865	-	-	7,865
Capital projects	-	-	92,947	92,947
Ed Center plumbing	1,000,000	-	-	1,000,000
2021-2022 WIP facility projects	1,978,713	-	-	1,978,713
2021-2022 PO carryover	103,674	-	-	103,674
2020-2021 Supplemental and concentration	20,129,000	-	-	20,129,000
2021-2022 Supplemental and concentration	16,910,045	-	-	16,910,045
Total assigned	40,129,297	-	92,947	40,222,244
Unassigned				
Reserve for economic uncertainties	14,888,071	-	-	14,888,071
Remaining unassigned	55,700,216	-	-	55,700,216
Total unassigned	70,588,287	-	-	70,588,287
Total	\$ 172,101,762	\$ 31,522,564	\$ 28,190,387	\$ 231,814,713

Note 12 - Risk Management**Joint Powers Agreements**

The District participates in a joint powers agreement (JPA) with the Self-Insured Schools of California for its property and liability coverage (SISC II) and health and welfare benefits (SISC III). The District has entered into a service contract with the Self-Insured Schools of California Workers' Compensation (SISC I) program to provide claims administration services for the District's workers' compensation claims.

A board consisting of representatives from member districts governs each SISC JPA. The governing boards control the operation of the JPAs independent of any influence by the District beyond the District's representation on the governing board(s). Each JPA is independently accountable for its fiscal matters. These JPAs have budget and financial reporting requirements separate and independent from its member districts and are not subject to any approval other than that of the JPA governing board.

Property and Liability

The District is exposed to various risks of loss related to torts; theft, damage, and destruction of assets; errors and omissions; injuries to employees and natural disasters. During fiscal year ending June 30, 2022, the District contracted with Self-Insured Schools of California Property and Liability Program (SISC II) for property and liability insurance coverage. Member districts pay a premium commensurate with the level of coverage requested and share surpluses and deficits proportionately to their participation. Settled claims have not exceeded this commercial coverage in any of the past three years. There has not been a significant reduction in coverage from the prior year.

Workers' Compensation

For fiscal year 2022, the District is self-insured for workers' compensation. The self-insurance program started in 1983-1984. The District has been self-insuring its workers' compensation program in California in accordance with *Insurance Code* 11870. The District entered into a service contract with Self-Insured Schools of California Workers' Compensation (SISC I) effective July 1, 1995, to provide claims administration services. The District pays an annual service fee to SISC I for these services. The District pays directly to Walter Mortensen Insurance the premium for excess workers' compensation coverage. Self-insured retention is currently \$1,000,000. The District pays directly to the Kern Foundation for Medical Care the fees for the Medical Provider Network (MPN) services. The District is responsible for obtaining its own actuarial valuation. The Self Insured Schools of California provides actuarial services for the District.

Employee Medical Benefits

The District has contracted with the Self-Insured Schools of California Health and Welfare Benefits JPA (SISC III) to provide employee health benefits. SISC III is a shared risk pool. Rates are set through an annual utilization review and calculation process. The District is considered a “credible” district within the SISC III pool for their medical and pharmacy claims. Being credible means they are responsible for and assume all risk for their own claims, up to \$150,000 for medical claims, per member per plan year. The District participates in the regular SISC pool for dental and vision coverage. The District pays a monthly contribution, which is placed in a common fund from which claim payments are made for all SISC III participating districts. SISC III has a right to return monies to a district subsequent to the settlement of all expenses and claims if a district withdraws from the pool.

Unpaid Claims Liabilities

The Self Insurance Funds establish a liability for both reported and unreported events, which includes estimates of both future payments of losses and related claim adjustment expenses. The following represent the changes in approximate aggregate liabilities for the District from July 1, 2020 to June 30, 2022:

	Workers' Compensation	Health Care	Total
Liability Balance, July 1, 2020	\$ 6,806,988	\$ 5,349,763	\$ 12,156,751
Claims and changes in estimates	1,894,000	58,069,629	59,963,629
Claims payments	(1,675,668)	(57,885,909)	(59,561,577)
Liability Balance, June 30, 2021	7,025,320	5,533,483	12,558,803
Claims and changes in estimates	1,009,262	61,259,330	62,268,592
Claims payments	(1,307,665)	(61,804,279)	(63,111,944)
Liability Balance, June 30, 2022	<u>\$ 6,726,917</u>	<u>\$ 4,988,534</u>	<u>\$ 11,715,451</u>
Assets available to pay claims at June 30, 2022	<u>\$ 13,793,079</u>	<u>\$ 32,422,744</u>	<u>\$ 46,215,823</u>

Note 13 - Employee Retirement Systems

Qualified employees are covered under multiple-employer defined benefit pension plans maintained by agencies of the State of California. Academic employees are members of the California State Teachers' Retirement System (CalSTRS) and classified employees are members of the California Public Employees' Retirement System (CalPERS).

For the fiscal year ended June 30, 2022, the District reported its proportionate share of net pension liabilities, deferred outflows of resources, deferred inflows of resources, and pension expense for each of the above plans as follows:

Pension Plan	Net Pension Liability	Deferred Outflows of Resources	Deferred Inflows of Resources	Pension Expense
CalSTRS	\$ 132,943,118	\$ 63,032,577	\$ 124,633,999	\$ 12,408,707
CalPERS	99,935,746	21,886,583	38,895,417	12,078,344
Total	<u>\$ 232,878,864</u>	<u>\$ 84,919,160</u>	<u>\$ 163,529,416</u>	<u>\$ 24,487,051</u>

The details of each plan are as follows:

California State Teachers' Retirement System (CalSTRS)**Plan Description**

The District contributes to the State Teachers Retirement Plan (STRP) administered by the California State Teachers' Retirement System (CalSTRS). STRP is a cost-sharing multiple-employer public employee retirement system defined benefit pension plan. Benefit provisions are established by State statutes, as legislatively amended, within the State Teachers' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2020, annual actuarial valuation report, Defined Benefit Program Actuarial Valuation. This report and CalSTRS audited financial information are publicly available reports that can be found on the CalSTRS website under Publications at: <http://www.calstrs.com/member-publications>.

Benefits Provided

The STRP provides retirement, disability and survivor benefits to beneficiaries. Benefits are based on members' final compensation, age, and years of service credit. Members hired on or before December 31, 2012, with five years of credited service are eligible for the normal retirement benefit at age 60. Members hired on or after January 1, 2013, with five years of credited service are eligible for the normal retirement benefit at age 62. The normal retirement benefit is equal to 2.0% of final compensation for each year of credited service.

The STRP is comprised of four programs: Defined Benefit Program, Defined Benefit Supplement Program, Cash Balance Benefit Program, and Replacement Benefits Program. The STRP holds assets for the exclusive purpose of providing benefits to members and beneficiaries of these programs. CalSTRS also uses plan assets to defray reasonable expenses of administering the STRP. Although CalSTRS is the administrator of the STRP, the state is the sponsor of the STRP and obligor of the trust. In addition, the state is both an employer and nonemployer contributing entity to the STRP.

The District contributes exclusively to the STRP Defined Benefit Program, thus disclosures are not included for the other plans.

The STRP provisions and benefits in effect at June 30, 2022, are summarized as follows:

	STRP Defined Benefit Program	
	On or before December 31, 2012	On or after January 1, 2013
Hire date		
Benefit formula	2% at 60	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	60	62
Monthly benefits as a percentage of eligible compensation	2.0% - 2.4%	2.0% - 2.4%
Required employee contribution rate	10.25%	10.205%
Required employer contribution rate	16.92%	16.92%
Required state contribution rate	10.828%	10.828%

Contributions

Required member, District and State of California contributions rates are set by the California Legislature and Governor and detailed in Teachers' Retirement Law. The contributions rates are expressed as a level percentage of payroll using the entry age normal actuarial method. In accordance with AB 1469, employer contributions into the CalSTRS will be increasing to a total of 19.1% of applicable member earnings phased over a seven-year period. The contribution rates for each plan for the year ended June 30, 2022, are presented above and the District's total contributions were \$30,239,043.

Pension Liabilities, Pension Expense, Deferred Outflows of Resources, and Deferred Inflows of Resources Related to Pensions

At June 30, 2022, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate share of the net pension liability, the related state support and the total portion of the net pension liability that was associated with the District were as follows:

Total net pension liability, including State share

Proportionate share of net pension liability	\$ 132,943,118
State's proportionate share of the net pension liability	<u>66,891,821</u>
Total	<u>\$ 199,834,939</u>

The net pension liability was measured as of June 30, 2021. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts and the State, actuarially determined. The District's proportionate share for the measurement period June 30, 2021 and June 30, 2020, respectively, was 0.2921% and 0.2885%, resulting in a net increase in the proportionate share of 0.0036 percent.

For the year ended June 30, 2022, the District recognized pension expense of \$12,408,707. In addition, the District recognized pension expense and revenue of \$2,288,621 for support provided by the State. At June 30, 2022, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 30,239,043	\$ -
Change in proportion and differences between contributions made and District's proportionate share of contributions	13,623,877	5,324,650
Differences between projected and actual earnings on pension plan investments	-	105,161,430
Differences between expected and actual experience in the measurement of the total pension liability	333,030	14,147,919
Changes of assumptions	<u>18,836,627</u>	<u>-</u>
Total	<u>\$ 63,032,577</u>	<u>\$ 124,633,999</u>

The deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent fiscal year.

The deferred outflows of resources and deferred inflows of resources related to the difference between projected and actual earnings on pension plan investments will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/(Inflows) of Resources
2023	\$ (26,704,697)
2024	(24,426,074)
2025	(25,032,245)
2026	(28,998,414)
Total	<u>\$ (105,161,430)</u>

The deferred outflows of resources and deferred inflows of resources related to the change in proportion and differences between contributions made and District's proportionate share of contributions, differences between expected and actual experience in the measurement of the total pension liability, and changes of assumptions will be amortized over the Expected Average Remaining Service Life (EARSL) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period. The EARSL for the measurement period is seven years and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/(Inflows) of Resources
2023	\$ 7,920,086
2024	9,002,980
2025	(110,486)
2026	(1,810,780)
2027	(106,810)
Thereafter	(1,574,025)
Total	<u>\$ 13,320,965</u>

Actuarial Methods and Assumptions

Total pension liability for STRP was determined by applying update procedures to the financial reporting actuarial valuation as of June 30, 2020, and rolling forward the total pension liability to June 30, 2021. The financial reporting actuarial valuation as of June 30, 2020, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2020
Measurement date	June 30, 2021
Experience study	July 1, 2015 through June 30, 2018
Actuarial cost method	Entry age normal
Discount rate	7.10%
Investment rate of return	7.10%
Consumer price inflation	2.75%
Wage growth	3.50%

CalSTRS uses a generational mortality assumption, which involves the use of a base mortality table and projection scales to reflect expected annual reductions in mortality rates at each age, resulting in increases in life expectancies each year into the future. The base mortality tables are CalSTRS custom tables derived to best fit the patterns of mortality among its members. The projection scale was set equal to 110% of the ultimate improvement factor from the Mortality Improvement Scale (MP-2019) table, issued by the Society of Actuaries.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant as an input to the process. The actuarial investment rate of return assumption was adopted by the board in January 2020 in conjunction with the most recent experience study. For each current and future valuation, CalSTRS' independent consulting actuary (Milliman) reviews the return assumption for reasonableness based on the most current capital market assumptions. Best estimates of 20-year geometrically linked real rates of return and the assumed asset allocation for each major asset class for the year ended June 30, 2021, are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Public equity	42%	4.8%
Real estate	15%	3.6%
Private equity	13%	6.3%
Fixed income	12%	1.3%
Risk mitigating strategies	10%	1.8%
Inflation sensitive	6%	3.3%
Cash/liquidity	2%	(0.4%)

Discount Rate

The discount rate used to measure the total pension liability was 7.10%. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return of 7.10% and assume that contributions, benefit payments and administrative expense occurred midyear. Based on these assumptions, the STRP's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Net Pension Liability
1% decrease (6.10%)	\$ 270,624,606
Current discount rate (7.10%)	132,943,118
1% increase (8.10%)	18,670,112

California Public Employees Retirement System (CalPERS)

Plan Description

Qualified employees are eligible to participate in the School Employer Pool (SEP) under the California Public Employees' Retirement System (CalPERS), a cost-sharing multiple-employer public employee retirement system defined benefit pension plan administered by CalPERS. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2020 annual actuarial valuation report, Schools Pool Actuarial Valuation. This report and CalPERS audited financial information are publicly available reports that can be found on the CalPERS website under Forms and Publications at:
<https://www.calpers.ca.gov/page/forms-publications>.

Benefits Provided

CalPERS provides service retirement and disability benefits, annual cost of living adjustments and death benefits to plan members, who must be public employees and beneficiaries. Benefits are based on years of service credit, a benefit factor and the member's final compensation. Members hired on or before December 31, 2012, with five years of credited service are eligible for the normal retirement benefit at age 50. Members hired on or after January 1, 2013, with five years of credited service are eligible for the normal retirement benefit at age 62. Members hired on or before December 31, 2012, with five years of total service are eligible to retire at age 50 with statutorily reduced benefits. Members hired on or after January 1, 2013, with five years of total service are eligible to retire at age 52 with statutorily reduced benefits. All members are eligible for non-duty disability benefits after five years of service. The Basic Death Benefit is paid to any member's beneficiary if the member dies while actively employed. An employee's eligible survivor may receive the 1957 Survivor Benefit if the member dies while actively employed, is at least age 50 (or 52 for members hired on or after January 1, 2013), and has at least five years of credited service. The cost of living adjustments for each plan are applied as specified by the Public Employees' Retirement Law.

The CalPERS provisions and benefits in effect at June 30, 2022, are summarized as follows:

	School Employer Pool (CalPERS)	
	On or before December 31, 2012	On or after January 1, 2013
Hire date		
Benefit formula	2% at 55	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	55	62
Monthly benefits as a percentage of eligible compensation	1.1% - 2.5%	1.0% - 2.5%
Required employee contribution rate	7.00%	7.00%
Required employer contribution rate	22.91%	22.91%

Contributions

Section 20814(c) of the California Public Employees' Retirement Law requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on July 1 following notice of a change in the rate. Total plan contributions are calculated through the CalPERS annual actuarial valuation process. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. The District is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. The contributions rates are expressed as percentage of annual payroll. The contribution rates for each plan for the year ended June 30, 2022, are presented above and the total District contributions were \$18,184,834.

Pension Liabilities, Pension Expense, Deferred Outflows of Resources, and Deferred Inflows of Resources Related to Pensions

As of June 30, 2022, the District reported net pension liabilities for its proportionate share of the CalPERS net pension liability totaling \$99,935,746. The net pension liability was measured as of June 30, 2021. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, actuarially determined. The District's proportionate share for the measurement period June 30, 2021 and June 30, 2020, respectively, was 0.4915% and 0.4882%, resulting in a net increase in the proportionate share of 0.0033%.

For the year ended June 30, 2022, the District recognized pension expense of \$12,078,344. At June 30, 2022, the District reported deferred outflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 18,184,834	\$ -
Change in proportion and differences between contributions made and District's proportionate share of contributions	718,411	307,463
Differences between projected and actual earnings on pension plan investments	-	38,352,364
Differences between expected and actual experience in the measurement of the total pension liability	2,983,338	235,590
Total	<u>\$ 21,886,583</u>	<u>\$ 38,895,417</u>

The deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent fiscal year.

The deferred outflows of resources and deferred inflows of resources related to the difference between projected and actual earnings on pension plan investments will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/(Inflows) of Resources
2023	\$ (9,618,740)
2024	(8,845,293)
2025	(9,221,795)
2026	(10,666,536)
Total	<u>\$ (38,352,364)</u>

The deferred outflows of resources and deferred inflows of resources related to the change in proportion and differences between contributions made and District's proportionate share of contributions, differences between expected and actual experience in the measurement of the total pension liability, and changes of assumptions will be amortized over the Expected Average Remaining Service Life (EARSL) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period. The EARSL for the measurement period is 4.1 years and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/(Inflows) of Resources
2023	\$ 2,137,930
2024	799,897
2025	205,295
2026	15,574
Total	<u>\$ 3,158,696</u>

Actuarial Methods and Assumptions

Total pension liability for the SEP was determined by applying update procedures to the financial reporting actuarial valuation as of June 30, 2020, and rolling forward the total pension liability to June 30, 2021. The financial reporting actuarial valuation as of June 30, 2020, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2020
Measurement date	June 30, 2021
Experience study	July 1, 1997 through June 30, 2015
Actuarial cost method	Entry age normal
Discount rate	7.15%
Investment rate of return	7.15%
Consumer price inflation	2.50%
Wage growth	Varies by entry age and service

The mortality table used was developed based on CalPERS-specific data. The table includes 15 years of mortality improvements using Society of Actuaries 90% of scale MP-2016.

In determining the long-term expected rate of return, CalPERS took into account both short-term and long-term market return expectations as well as the expected pension fund cash flows. Using historical returns of all the funds' asset classes, expected compound returns were calculated over the short-term (first ten years) and the long-term (11+ years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the rounded single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equal to the single equivalent rate calculated above and adjusted to account for assumed administrative expenses. The target asset allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Global equity	50%	5.98%
Fixed income	28%	2.62%
Inflation assets	0%	1.81%
Private equity	8%	7.23%
Real assets	13%	4.93%
Liquidity	1%	(0.92%)

Discount Rate

The discount rate used to measure the total pension liability was 7.15%. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Based on these assumptions, the School Employer Pool fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Net Pension Liability
1% decrease (6.15%)	\$ 168,505,700
Current discount rate (7.15%)	99,935,746
1% increase (8.15%)	43,007,971

SISC Defined Benefit Pension Plan (SDBP)**Plan Description**

As established by Federal law, all public sector employees who are not members of their employer's existing retirement system (CalSTRS or CalPERS) must be covered by social security or an alternative plan. The District has elected to use the Self-Insured Schools of California (SISC) defined benefit plan as its alternative plan. For all employees who were members in the plan prior to January 1, 2014, the District is required to make contributions of 2.1% of the employees' salary. For all employees who entered the plan subsequent to January 1, 2014, the District is required to make contributions of 2.1% of the employees' salary and the employee is required to contribute 1.6%. There is no specified length of time an employee must work for the District in order to receive benefits. The benefits are 100% vested from the date of participation. The District made contributions of \$79,148 to this plan during the fiscal year ended June 30, 2022, of which \$47,372 was the employee portion. Copies of the SISC defined benefit plan annual financial report may be obtained from the SISC executive office.

All part-time, temporary, and seasonal (PTS) employees are eligible to participate in the SISC Defined Benefit Plan (SDBP), a multiple-employer public employee retirement plan. The District is part of a "cost-sharing" pool within SDBP. One actuarial valuation is performed for those employers participating in the pool, and the same contribution rate applies to each. At June 30, 2022, the District employed 184 PTS employees with a total payroll of \$4,283,182.

Employees who retire on or after age 65 are entitled to a retirement benefit, payable monthly for life, equal to 1.5% of their average compensation multiplied by credited service up to 30 years. Average compensation is the employee's average monthly compensation for the highest three consecutive calendar years of employment. A year of credited service is received for each year in which the employee receives compensation for service with the employer. Credited service will not include periods of employment with the employer during which the employee is covered under another plan sponsored by the employer. Copies of the SDBP annual financial report may be obtained from their executive office.

On Behalf Payments

The State of California makes contributions to CalSTRS on behalf of the District. These payments consist of State General Fund contributions to CalSTRS in the amount of \$18,787,670 (10.828% of annual payroll). Contributions are no longer appropriated in the annual *Budget Act* for the legislatively mandated benefits to CalPERS. Therefore, there is no on behalf contribution rate for CalPERS. Under accounting principles generally accepted in the United States of America, these amounts are to be reported as revenues and expenditures. Accordingly, these amounts have been recorded in these financial statements.

Note 14 - Commitments and Contingencies

Grants

The District received financial assistance from Federal and State agencies in the form of grants. The disbursement of funds received under these programs generally requires compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies. Any disallowed claims resulting from such audits could become a liability of the General Fund or other applicable funds. However, in the opinion of management, any such disallowed claims will not have a material adverse effect on the overall financial position of the District at June 30, 2022.

Litigation

The District is involved in various litigation arising from the normal course of business. In the opinion of management and legal counsel, the disposition of all litigation pending is not expected to have a material adverse effect on the overall financial position of the District at June 30, 2022.

Construction Commitments

As of June 30, 2022, the District had the following commitments with respect to the unfinished capital projects:

Capital Projects	Remaining Construction Commitment	Expected Date of Completion
Hort modernization	\$ 3,741,200	2023/2024
Roosevelt modernization	4,100,000	2023/2024
Pioneer modernization	4,021,868	2023/2024
Mt. Vernon modernization	5,350,868	2023/2024
Franklin conversion	9,000,000	2023/2024
Thorner conversion	6,090,600	2023/2024
Owens Primary expansion	4,736,559	2022/2023
Owens Intermediate conversion	7,855,237	2023/2024
Franklin HVAC	2,483,438	2024/2025
Fremont HVAC	2,689,384	2024/2025
Horce Mann HVAC	3,453,727	2024/2025
Mt. Vernon HVAC	2,779,540	2024/2025
Munsey HVAC	1,884,950	2024/2025
W. Penn HVAC	1,562,506	2024/2025
Pioneer HVAC	1,955,314	2024/2025
Roosevelt HVAC	2,121,999	2024/2025
Sierra HVAC	626,026	2022/2023
Washington HVAC	2,634,950	2024/2025
Wayside HVAC	2,259,950	2024/2025
Total	<u>\$ 69,348,116</u>	

Note 15 - Participation in Public Entity Risk Pools, Joint Powers Authorities and Other Related Party Transactions

The District is a member of the Self-Insured Schools of California Workers' Compensation Program (SISC I), Self-Insured Schools of California Property and Liability Program (SISC II), Self-Insured Schools of California Health and Welfare Benefit Program (SISC III), Partners in Nutrition Cooperative (PINCO), and School Project for Utility Rate Reduction (SPURR) joint powers authorities (JPAs). The District pays an annual premium to the applicable entity for its health, workers' compensation, and property liability coverage. Payments for food and utilities received from the JPAs are paid to PINCO and SPURR, respectively. The relationships between the District and the JPAs are such that they are not component units of the District for financial reporting purposes.

These entities have budgeting and financial reporting requirements independent of member units and their financial statements are not presented in these financial statements; however, fund transactions between the entities and the District are included in these statements. Audited financial statements are generally available from the respective entities.

The District has appointed one member to the governing board of SISC I. During the year ended June 30, 2022, the District made payments of \$4,129,864 to SISC I.

The District has appointed one member to the governing board of SISC II. During the year ended June 30, 2022, the District made a payment of \$3,206,271 to SISC II.

The District has appointed one member to the governing board of SISC III. During the year ended June 30, 2022, the District made payments of \$65,924,671 to SISC III.

The District has appointed one member to the governing board of PINCO. During the year ended June 30, 2022, the District made payments of \$3,196,267 to PINCO.

The District has appointed no board members to the governing board of SPURR. During the year ended June 30, 2022, the District made payments of \$438,619 to SPURR.

Note 16 - Restatement of Prior Year Net Position and Fund Balance

As of July 1, 2021, the District adopted GASB Statement No. 87, *Leases*. The implementation of this standard establishes a single model for lease accounting based on the foundational principle that leases are financings of the right-to-use an underlying asset. The Statement requires recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. Beginning net position was restated to retroactively adopt the provisions of GASB Statement No. 87 as follows:

Government-Wide Financial Statements

Net Position - Beginning	\$ (132,292,792)
Right-to-use intangible asset, net of amortization	2,017,468
Lease liability	<u>(2,033,630)</u>
Net Position - Beginning, as Restated	<u><u>\$ (132,308,954)</u></u>



Required Supplementary Information
June 30, 2022

Bakersfield City School District

Bakersfield City School District
 Budgetary Comparison Schedule – General Fund
 Year Ended June 30, 2022

	Budgeted Amounts		Actual	Variances - Positive (Negative)
	Original	Final		Final to Actual
Revenues				
Local Control Funding Formula	\$356,729,396	\$366,355,341	\$366,355,341	\$ -
Federal sources	39,027,031	73,437,268	73,437,268	-
Other State sources	65,994,666	107,220,440	107,220,440	-
Other local sources	2,704,487	(1,584,435)	(1,584,435)	-
Total revenues	464,455,580	545,428,614	545,428,614	-
Expenditures				
Current				
Certificated salaries	187,645,042	189,567,122	189,567,122	-
Classified salaries	83,479,389	78,725,611	78,725,611	-
Employee benefits	145,712,005	136,004,987	136,004,987	-
Books and supplies	47,779,334	39,361,075	39,361,075	-
Services and operating expenditures	57,106,056	43,456,598	43,456,598	-
Other outgo	(473,021)	3,136,907	3,136,907	-
Capital outlay	13,125,157	9,561,051	9,561,051	-
Debt service				
Debt service - principal	128,554	128,554	128,554	-
Debt service - interest and other	51,785	51,785	51,785	-
Total expenditures	534,554,301	499,993,690	499,993,690	-
Excess (Deficiency) of Revenues Over Expenditures	(70,098,721)	45,434,924	45,434,924	-
Other Financing Sources (Uses)				
Other sources	-	2,965,623	2,965,623	-
Transfers out	(720,000)	(720,000)	-	720,000
Net financing sources (uses)	(720,000)	2,245,623	2,965,623	720,000
Net Change in Fund Balances	(70,818,721)	47,680,547	48,400,547	720,000
Fund Balance - Beginning	123,701,215	123,701,215	123,701,215	-
Fund Balance - Ending	\$ 52,882,494	\$171,381,762	\$172,101,762	\$ 720,000

Bakersfield City School District
Schedule of Changes in the District's Total OPEB Liability and Related Ratios
Year Ended June 30, 2022

	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>
Total OPEB Liability					
Service cost	\$ 8,344,926	\$ 6,514,695	\$ 6,324,947	\$ 7,029,073	\$6,359,129
Interest	2,529,093	2,384,216	2,753,782	4,558,847	4,856,687
Difference between expected and actual experience	-	(13,713,399)	3,916,475	(627,208)	-
Changes of assumptions	(13,055,582)	18,010,495	(36,806,068)	(5,675,869)	-
Benefit payments	<u>(4,369,200)</u>	<u>(6,424,628)</u>	<u>(6,424,628)</u>	<u>(7,984,603)</u>	<u>(8,157,012)</u>
Net change in total OPEB liability	(6,550,763)	6,771,379	(30,235,492)	(2,699,760)	3,058,804
Total OPEB Liability - Beginning	<u>115,099,795</u>	<u>108,328,416</u>	<u>138,563,908</u>	<u>141,263,668</u>	<u>138,204,864</u>
Total OPEB Liability - Ending	<u><u>\$ 108,549,032</u></u>	<u><u>\$ 115,099,795</u></u>	<u><u>\$ 108,328,416</u></u>	<u><u>\$ 138,563,908</u></u>	<u><u>\$ 141,263,668</u></u>
Covered Payroll	<u>N/A ¹</u>	<u>N/A ¹</u>	<u>N/A ¹</u>	<u>N/A ¹</u>	<u>N/A ¹</u>
Total OPEB Liability as a Percentage of Covered Payroll	<u>N/A ¹</u>	<u>N/A ¹</u>	<u>N/A ¹</u>	<u>N/A ¹</u>	<u>N/A ¹</u>
Measurement Date	June 30, 2022	June 30, 2021	June 30, 2020	June 30, 2019	June 30, 2018

¹ The OPEB Plan is not administered through a trust and contributions are not made based on a measure of pay; therefore, no measure of payroll is presented.

Note: In the future, as data becomes available, ten years of information will be presented.

Bakersfield City School District
Schedule of the District's Proportionate Share of the Net OPEB Liability – MPP Program
Year Ended June 30, 2022

Year ended June 30,	2022	2021	2020	2019	2018
Proportion of the net OPEB liability	0.4391%	0.5027%	0.4867%	0.5073%	0.4838%
Proportionate share of the net OPEB liability	\$ 1,751,494	\$ 2,130,226	\$ 1,812,581	\$ 1,941,891	\$ 2,035,442
Covered payroll	N/A ¹	N/A ¹	N/A ¹	N/A ¹	N/A ¹
Proportionate share of the net OPEB liability as a percentage of it's covered payroll	N/A ¹	N/A ¹	N/A ¹	N/A ¹	N/A ¹
Plan fiduciary net position as a percentage of the total OPEB liability	(0.80%)	(0.71%)	(0.81%)	(0.40%)	0.01%
Measurement Date	June 30, 2021	June 30, 2020	June 30, 2019	June 30, 2018	June 30, 2017

¹ As of June 30, 2012, active members are no longer eligible for future enrollment in the MPP Program; therefore, the covered payroll disclosure is not applicable.

Note : In the future, as data becomes available, ten years of information will be presented.

Bakersfield City School District
Schedule of the District's Proportionate Share of the Net Pension Liability
Year Ended June 30, 2022

	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>
CalSTRS				
Proportion of the net pension liability	<u>0.2921%</u>	<u>0.2885%</u>	<u>0.2751%</u>	<u>0.2826%</u>
Proportionate share of the net pension liability	<u>\$ 132,943,118</u>	<u>\$ 279,564,703</u>	<u>\$ 248,499,265</u>	<u>\$ 259,775,031</u>
State's proportionate share of the net pension liability	<u>66,891,821</u>	<u>144,115,637</u>	<u>135,572,939</u>	<u>148,733,354</u>
Total	<u><u>\$ 199,834,939</u></u>	<u><u>\$ 423,680,340</u></u>	<u><u>\$ 384,072,204</u></u>	<u><u>\$ 408,508,385</u></u>
Covered payroll	<u>\$ 178,717,748</u>	<u>\$ 158,006,398</u>	<u>\$ 145,660,037</u>	<u>\$ 150,801,635</u>
Proportionate share of the net pension liability as a percentage of its covered payroll	<u>74.39%</u>	<u>176.93%</u>	<u>170.60%</u>	<u>172.26%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>87%</u>	<u>72%</u>	<u>73%</u>	<u>71%</u>
Measurement Date	June 30, 2021	June 30, 2020	June 30, 2019	June 30, 2018
CalPERS				
Proportion of the net pension liability	<u>0.4915%</u>	<u>0.4882%</u>	<u>0.4722%</u>	<u>0.4402%</u>
Proportionate share of the net pension liability	<u>\$ 99,935,746</u>	<u>\$ 149,785,771</u>	<u>\$ 137,611,843</u>	<u>\$ 117,360,055</u>
Covered payroll	<u>\$ 79,375,094</u>	<u>\$ 70,705,943</u>	<u>\$ 66,497,780</u>	<u>\$ 59,251,883</u>
Proportionate share of the net pension liability as a percentage of its covered payroll	<u>125.90%</u>	<u>211.84%</u>	<u>206.94%</u>	<u>198.07%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>81%</u>	<u>70%</u>	<u>70%</u>	<u>71%</u>
Measurement Date	June 30, 2021	June 30, 2020	June 30, 2019	June 30, 2018

Note: In the future, as data becomes available, ten years of information will be presented.

Bakersfield City School District
Schedule of the District's Proportionate Share of the Net Pension Liability
Year Ended June 30, 2022

	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
CalSTRS				
Proportion of the net pension liability	<u>0.2672%</u>	<u>0.2617%</u>	<u>0.2672%</u>	<u>0.2335%</u>
Proportionate share of the net pension liability	<u>\$ 247,141,153</u>	<u>\$ 211,683,192</u>	<u>\$ 179,919,780</u>	<u>\$ 136,430,742</u>
State's proportionate share of the net pension liability	<u>146,206,618</u>	<u>120,507,465</u>	<u>95,157,730</u>	<u>82,382,772</u>
Total	<u><u>\$ 393,347,771</u></u>	<u><u>\$ 332,190,657</u></u>	<u><u>\$ 275,077,510</u></u>	<u><u>\$ 218,813,514</u></u>
Covered payroll	<u>\$ 145,046,932</u>	<u>\$ 133,226,179</u>	<u>\$ 124,928,468</u>	<u>\$ 115,849,612</u>
Proportionate share of the net pension liability as a percentage of its covered payroll	<u>170.39%</u>	<u>158.89%</u>	<u>144.02%</u>	<u>117.77%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>69%</u>	<u>70%</u>	<u>74%</u>	<u>77%</u>
Measurement Date	June 30, 2017	June 30, 2016	June 30, 2015	June 30, 2014
CalPERS				
Proportion of the net pension liability	<u>0.4070%</u>	<u>0.3933%</u>	<u>0.3892%</u>	<u>0.3584%</u>
Proportionate share of the net pension liability	<u>\$ 97,171,022</u>	<u>\$ 77,686,442</u>	<u>\$ 57,371,906</u>	<u>\$ 40,692,770</u>
Covered payroll	<u>\$ 51,781,221</u>	<u>\$ 47,229,780</u>	<u>\$ 43,104,732</u>	<u>\$ 37,723,361</u>
Proportionate share of the net pension liability as a percentage of its covered payroll	<u>187.66%</u>	<u>164.49%</u>	<u>133.10%</u>	<u>107.87%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>72%</u>	<u>74%</u>	<u>79%</u>	<u>83%</u>
Measurement Date	June 30, 2017	June 30, 2016	June 30, 2015	June 30, 2014

Note: In the future, as data becomes available, ten years of information will be presented.

Bakersfield City School District
Schedule of the District's Contributions
Year Ended June 30, 2022

	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>
CalSTRS				
Contractually required contribution	\$ 30,239,043	\$ 25,591,734	\$ 27,019,094	\$ 23,713,454
Less contributions in relation to the contractually required contribution	<u>30,239,043</u>	<u>25,591,734</u>	<u>27,019,094</u>	<u>23,713,454</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Covered payroll	<u>\$ 178,717,748</u>	<u>\$ 158,462,749</u>	<u>\$ 158,006,398</u>	<u>\$ 145,660,037</u>
Contributions as a percentage of covered payroll	<u>16.92%</u>	<u>16.15%</u>	<u>17.10%</u>	<u>16.28%</u>
CalPERS				
Contractually required contribution	\$ 18,184,834	\$ 14,610,845	\$ 13,943,919	\$ 12,010,829
Less contributions in relation to the contractually required contribution	<u>18,184,834</u>	<u>14,610,845</u>	<u>13,943,919</u>	<u>12,010,829</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Covered payroll	<u>\$ 79,375,094</u>	<u>\$ 70,583,792</u>	<u>\$ 70,705,943</u>	<u>\$ 66,497,780</u>
Contributions as a percentage of covered payroll	<u>22.910%</u>	<u>20.700%</u>	<u>19.721%</u>	<u>18.0620%</u>

Note: In the future, as data becomes available, ten years of information will be presented.

Bakersfield City School District
Schedule of the District's Contributions
Year Ended June 30, 2022

	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
CalSTRS				
Contractually required contribution	\$ 21,760,676	\$ 18,246,904	\$ 14,295,169	\$ 11,093,648
Less contributions in relation to the contractually required contribution	<u>21,760,676</u>	<u>18,246,904</u>	<u>14,295,169</u>	<u>11,093,648</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Covered payroll	<u>\$ 150,801,635</u>	<u>\$ 145,046,932</u>	<u>\$ 133,226,179</u>	<u>\$ 124,928,468</u>
Contributions as a percentage of covered payroll	<u>14.43%</u>	<u>12.58%</u>	<u>10.73%</u>	<u>8.88%</u>
CalPERS				
Contractually required contribution	\$ 9,202,410	\$ 7,191,376	\$ 5,595,312	\$ 5,073,858
Less contributions in relation to the contractually required contribution	<u>9,202,410</u>	<u>7,191,376</u>	<u>5,595,312</u>	<u>5,073,858</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Covered payroll	<u>\$ 59,251,883</u>	<u>\$ 51,781,221</u>	<u>\$ 47,229,780</u>	<u>\$ 43,104,732</u>
Contributions as a percentage of covered payroll	<u>15.5310%</u>	<u>13.8880%</u>	<u>11.8470%</u>	<u>11.7710%</u>

Note: In the future, as data becomes available, ten years of information will be presented.

Note 1 - Purpose of Schedules

Budgetary Comparison Schedule

The District employs budget control by object codes and by individual appropriation accounts. Budgets are prepared on the modified accrual basis of accounting in accordance with accounting principles generally accepted in the United State of America as prescribed by the Governmental Accounting Standards Board and provisions of the California *Education Code*. The governing board is required to hold a public hearing and adopt an operating budget no later than July 1 of each year. The adopted budget is subject to amendment throughout the year to give consideration to unanticipated revenue and expenditures primarily resulting from events unknown at the time of budget adoption with the legal restriction that expenditures cannot exceed appropriations by major object account.

The amounts reported as the original budgeted amounts in the budgetary statements reflect the amounts when the original appropriations were adopted. The amounts reported as the final budgeted amounts in the budgetary statements reflect the amounts after all budget amendments have been accounted for.

This schedule presents information for the original and final budgets and actual results of operations, as well as the variances from the final budget to actual results of operations.

Schedule of Changes in the District's Total OPEB Liability and Related Ratios

This schedule presents information on the District's changes in the total OPEB liability, including beginning and ending balances. In the future, as data becomes available, ten years of information will be presented.

- *Changes in Benefit Terms* - There were not changes in the benefit terms since the previous valuation.
- *Changes in Assumptions* - The discount rate assumption was changed from 2.16% to 3.54%, and inflation was changed from 2.75% to 2.50% since the previous valuation.

Schedule of the District's Proportionate Share of the Net OPEB Liability - MPP Program

This schedule presents information on the District's proportionate share of the net OPEB Liability - MPP Program and the plans' fiduciary net position. In the future, as data becomes available, ten years of information will be presented.

- *Changes in Benefit Terms* - There were no changes in the benefit terms since the previous valuation.
- *Changes of Assumptions* - The plan rate of investment return assumption was changed from 2.21% to 2.16% since the previous valuation.

Schedule of the District's Proportionate Share of the Net Pension Liability

This schedule presents information on the District's proportionate share of the net pension liability (NPL), the plans' fiduciary net position and, when applicable, the State's proportionate share of the NPL associated with the District. In the future, as data becomes available, ten years of information will be presented.

- *Changes in Benefit Terms* - There were no changes in benefit terms since the previous valuations for both CalSTRS and CalPERS.
- *Changes of Assumptions* - There were no changes in economic assumptions for either the CalSTRS or CalPERS plans from the previous valuations.

Schedule of the District's Contributions

This schedule presents information on the District's required contribution, the amounts actually contributed, and any excess or deficiency related to the required contribution. In the future, as data becomes available, ten years of information will be presented.



Supplementary Information
June 30, 2022

Bakersfield City School District

Bakersfield City School District
Schedule of Expenditures of Federal Awards
Year Ended June 30, 2022

Federal Grantor/Pass-Through Grantor/Program or Cluster Title	Federal Financial Assistance Listing/Federal CFDA Number	Pass-Through Entity Identifying Number	Federal Expenditures
U.S. Department of Education			
Passed Through California Department of Education (CDE)			
Special Education Cluster			
Special Education Grants to States - Basic Local Assistance	84.027	13379	\$ 5,700,322
COVID-19, Special Education: ARP IDEA Part B, Local Assistance Entitlement	84.027	15638	51,329
Special Education Grants to States - Mental Health	84.027A	15197	264,233
Special Education Grants to States - Private School ISP	84.027	10115	26,910
Subtotal (84.027)			6,042,794
Special Education Preschool Grants	84.173	13430	132,657
COVID-19, Special Education: ARP IDEA, Preschool Grants	84.173	15639	56,638
Special Education Preschool Grants - Dispute Resolution	84.173A	13007	42,578
Special Education Preschool Grants - Preschool Staff Development	84.173A	13431	107
Subtotal (84.173)			231,980
Total Special Education Cluster			6,274,774
COVID-19, Elementary and Secondary School Emergency Relief Fund (ESSER)	84.425D	15536	1,096,345
COVID-19, Elementary and Secondary School Emergency Relief Fund II (ESSER II)	84.425D	15547	35,265,742
COVID-19, American Rescue Plan Elementary and Secondary School Emergency Relief (ESSER III)	84.425U	15559	1,591,920
COVID-19, Governor's Emergency Education Relief Fund (GEER)	84.425C	15517	1,588,850
COVID-19, After School Education and Safety (ASES) Rate Increase: ESSER III State Reserve Afterschool Programs	84.425U	15649	4,093,602
Subtotal (84.425)			43,636,459
Title I Grants to Local Educational Agencies	84.010	14329	17,512,914
ESEA: ESSA School Improvement (CSI) Funding for LEAs	84.010	15438	49,646
Subtotal (84.010)			17,562,560
English Language Acquisition State Grants - IEP	84.365	15146	55,272
English Language Acquisition State Grants - LEP	84.365	14346	788,713
Subtotal (84.365)			843,985
Migrant Education State Grant Program	84.011	14326	2,470,663
Supporting Effective Instruction State Grants - Teacher Quality	84.367	14341	1,467,851
Student Support and Academic Enrichment Program	84.424	15396	1,119,346
Special Education Grants for Infants and Families - Early Intervention	84.181	23761	61,630
Total U.S. Department of Education			73,437,268

Bakersfield City School District
Schedule of Expenditures of Federal Awards
Year Ended June 30, 2022

Federal Grantor/Pass-Through Grantor/Program or Cluster Title	Federal Financial Assistance Listing/Federal CFDA Number	Pass-Through Entity Identifying Number	Federal Expenditures
U.S. Department of Health and Human Services			
Passed Through California Department of Social Services			
CCDF Cluster: COVID-19, Child Development: Coronavirus			
Response and Relief Supplemental Appropriations (CRRSA)			
Act - One-Time Stipend	93.575	15555	<u>108,596</u>
Total U.S. Department of Health and Human Services			<u>108,596</u>
U.S. Department of Agriculture			
Passed Through California Department of Education			
COVID-19, SNAP, Pandemic Electronic Benefits Transfer Local			
Administrative Grant	10.649	15644	<u>5,814</u>
Child Nutrition Cluster			
National School Lunch Program	10.555	13391	1,256
National School Lunch Program - Meal Supplements	10.555	13755	514,419
National School Lunch Program - Commodity			
Supplemental Food	10.555	13391	1,684,096
COVID-19, SNP, Emergency Operational Costs			
Reimbursement (ECR)	10.555	15637	<u>887,660</u>
Subtotal (10.555)			<u>3,087,431</u>
School Breakfast Program - Especially Needy Breakfast	10.553	13526	726
National School Lunch Program - Summer Food Program	10.559	13004	19,521,952
Fresh Fruit and Vegetable Program	10.582	14968	<u>1,132,882</u>
Total Child Nutrition Cluster			<u>23,742,991</u>
Total U.S. Department of Agriculture			<u>23,748,805</u>
Total Federal Financial Assistance			<u><u>\$ 97,294,669</u></u>

Organization

The Bakersfield City School District was established in 1882 and consists of an area comprising approximately 158 square miles in Kern County. The District operates 34 elementary schools, six middle schools, three junior high schools, one community day school, and two alternative sites for special education. There were no boundary changes during the year.

Governing Board

Member	Office	Term Expires
Pam Baugher	Member	2022
Lillian Tafoya	President	2024
Laura Guerrero-Salgado	President Pro Tem	2022
Shannon Zimmerman	Clerk	2024
Chris Cruz-Boone	Clerk Pro Tem	2024

Administration

Mark Luque	District Superintendent
Laura Orozco	Assistant Superintendent, Educational Services
Christine Cornejo	Assistant Superintendent, Human Resources
Sherry Gladin	Assistant Superintendent, Business Services

Bakersfield City School District
Schedule of Average Daily Attendance
Year Ended June 30, 2022

	<u>Second Period Report</u>	<u>Annual Report</u>
Regular ADA		
Transitional kindergarten through third	11,001.68	11,113.23
Fourth through sixth	8,543.67	8,592.78
Seventh and eighth	<u>5,414.47</u>	<u>5,415.20</u>
Total regular ada	<u>24,959.82</u>	<u>25,121.21</u>
Extended Year Special Education		
Transitional kindergarten through third	12.82	12.82
Fourth through sixth	10.47	10.47
Seventh and eighth	<u>5.43</u>	<u>5.43</u>
Total extended year special education	<u>28.72</u>	<u>28.72</u>
Community Day School		
Transitional kindergarten through third	4.97	5.16
Fourth through sixth	2.09	2.31
Seventh and eighth	<u>1.43</u>	<u>1.87</u>
Total community day school	<u>8.49</u>	<u>9.34</u>
Total ADA	<u><u>24,997.03</u></u>	<u><u>25,159.27</u></u>

Bakersfield City School District

Schedule of Instructional Time

Year Ended June 30, 2022

Grade Level	1986-1987 Minutes Requirement	2021-2022 Actual Minutes	Number of Actual Days	Status
TK - Kindergarten	36,000	39,600	180	Complied
Grades 1 - 3	50,400			
Grade 1		50,940	180	Complied
Grade 2		50,940	180	Complied
Grade 3		50,940	180	Complied
Grades 4 - 8	54,000			
Grade 4		54,540	180	Complied
Grade 5		54,540	180	Complied
Grade 6		54,540	180	Complied
Grade 7		56,808	180	Complied
Grade 8		56,808	180	Complied

Bakersfield City School District
Reconciliation of Annual Financial and Budget Report with Audited Financial Statements
Year Ended June 30, 2022

There were no adjustments to the Unaudited Actual Financial Report, which required reconciliation to the audited financial statements at June 30, 2022.

Bakersfield City School District
Schedule of Financial Trends and Analysis
Year Ended June 30, 2022

	(Budget) 2023 ¹	2022	2021	2020
General Fund ³				
Revenues	\$ 691,384,917	\$ 545,646,171	\$ 486,818,771	\$ 421,956,343
Other sources	-	-	103,819	2,248,063
Total Revenues and Other Sources	691,384,917	545,646,171	486,922,590	424,204,406
Expenditures	702,490,093	496,269,022	434,650,142	416,413,336
Other uses and transfers out	-	720,000	-	-
Total Expenditures and Other Uses	702,490,093	496,989,022	434,650,142	416,413,336
Increase/(Decrease) in Fund Balance	(11,105,176)	48,657,149	52,272,448	7,791,070
Ending Fund Balance ⁴	\$ 153,970,026	\$ 165,075,202	\$ 116,418,053	\$ 64,145,605
Available Reserves ²	\$ 95,219,409	\$ 70,588,287	\$ 80,117,884	\$ 59,538,470
Available Reserves as a Percentage of Total Outgo	13.6%	14.2%	18.4%	14.3%
Long-Term Liabilities ⁵	Not Available	\$ 512,642,189	\$ 684,295,316	\$ 633,702,241
Average Daily Attendance at P-2	28,951	24,997	29,445	29,445

The General Fund balance has increased by \$100,929,597 over the past two years. The fiscal year 2022-2023 budget projects a decrease of \$11,105,176 (7.0%). For a district this size, the State recommends available reserves of at least three percent of total General Fund expenditures, transfers out, and other uses (total outgo).

The District has incurred operating surpluses in each of the past three years but anticipates incurring an operating deficit during the 2022-2023 fiscal year. Total long-term liabilities have decreased by \$121,060,052 over the past two years due to decreases in the District's net pension liability and other postemployment benefits obligations in the current fiscal year.

Average daily attendance has decreased by 4,448 over the past two years, the decrease was due primarily to the impact of COVID-19 on student attendance. Growth of 3,954 ADA is anticipated during fiscal year 2022-2023.

¹ Budget 2023 is included for analytical purposes only and has not been subjected to audit.

² Available reserves consist of all unassigned fund balances including all amounts reserved for economic uncertainties contained within the General Fund.

³ General Fund amounts do not include activity related to the consolidation of the Pupil Transportation Fund and the Special Reserve Postemployment Benefits Fund as required by GASB Statement No. 54.

⁴ Budget 2023 ending fund balance includes LCFF Supplemental and Concentration carryover funds which will be used for increasing and improving services to high need students.

⁵ Long-term liabilities balance was restated as of June 30, 2021, due to the implementation of GASB 87.

Bakersfield City School District
Combining Balance Sheet – Non-Major Governmental Funds
June 30, 2022

	Student Activities Fund	Child Development Fund	Cafeteria Fund	Capital Facilities Fund	County School Facilities Fund	Special Reserve Fund for Capital Outlay Projects	Bond Interest and Redemption Fund	Total Non-Major Governmental Funds
Assets								
Deposits and investments	\$ 147,341	\$ 585,805	\$ 4,281,822	\$ 3,820,266	\$ 10,345,737	\$ 92,709	\$ 6,475,229	\$ 25,748,909
Receivables	-	585,551	4,234,290	403,735	28,145	238	-	5,251,959
Due from other funds	-	2,413	100,721	2,250	1,152,542	-	-	1,257,926
Stores inventories	-	-	1,122,304	-	-	-	-	1,122,304
Total assets	\$ 147,341	\$ 1,173,769	\$ 9,739,137	\$ 4,226,251	\$ 11,526,424	\$ 92,947	\$ 6,475,229	\$ 33,381,098
Liabilities and Fund Balances								
Liabilities								
Accounts payable	\$ -	\$ 42,087	\$ 1,231,599	\$ 22,935	\$ 1,444,251	\$ -	\$ -	\$ 2,740,872
Due to other funds	-	229,716	2,215,768	-	91	-	-	2,445,575
Unearned revenue	-	4,264	-	-	-	-	-	4,264
Total liabilities	-	276,067	3,447,367	22,935	1,444,342	-	-	5,190,711
Fund Balances								
Nonspendable	-	-	1,123,174	-	-	-	-	1,123,174
Restricted	147,341	897,702	5,168,596	4,203,316	10,082,082	-	6,475,229	26,974,266
Assigned	-	-	-	-	-	92,947	-	92,947
Total fund balances	147,341	897,702	6,291,770	4,203,316	10,082,082	92,947	6,475,229	28,190,387
Total liabilities and fund balances	\$ 147,341	\$ 1,173,769	\$ 9,739,137	\$ 4,226,251	\$ 11,526,424	\$ 92,947	\$ 6,475,229	\$ 33,381,098

Bakersfield City School District

Combining Statement of Revenues, Expenditures, and Changes in Fund Balances – Non-Major Governmental Funds

Year Ended June 30, 2022

	Student Activities Fund	Child Development Fund	Cafeteria Fund	Capital Facilities Fund	County School Facilities Fund	Special Reserve Fund for Capital Outlay Projects	Bond Interest and Redemption Fund	Total Non-Major Governmental Funds
Revenues								
Federal sources	\$ -	\$ 217,400	\$ 24,452,570	\$ -	\$ -	\$ -	\$ 1,226,049	\$ 25,896,019
Other State sources	-	4,348,236	1,221,020	-	1,573,285	-	74,718	7,217,259
Other local sources	192,777	239,323	(98,478)	1,397,012	(292,762)	(3,022)	5,746,109	7,180,959
Total revenues	192,777	4,804,959	25,575,112	1,397,012	1,280,523	(3,022)	7,046,876	40,294,237
Expenditures								
Current								
Instruction	-	3,931,912	-	-	-	-	-	3,931,912
Instruction-related activities								
Supervision of instruction	-	276,171	-	-	-	-	-	276,171
School site administration	-	75,193	-	-	-	-	-	75,193
Pupil services								
Food services	-	-	21,905,095	-	-	-	-	21,905,095
Administration								
All other administration	-	177,862	617,083	18,499	-	-	-	813,444
Plant services	-	2	687,351	-	-	-	-	687,353
Ancillary services	173,851	-	-	-	-	-	-	173,851
Enterprise services	-	264,205	-	-	-	-	-	264,205
Facility acquisition and construction	-	-	-	504,673	9,010,349	-	-	9,515,022
Debt service								
Principal	-	-	-	-	-	-	4,285,000	4,285,000
Interest and other	-	-	-	-	-	-	3,717,311	3,717,311
Total expenditures	173,851	4,725,345	23,209,529	523,172	9,010,349	-	8,002,311	45,644,557
Excess (Deficiency) of Revenues Over Expenditures	18,926	79,614	2,365,583	873,840	(7,729,826)	(3,022)	(955,435)	(5,350,320)
Other Financing Sources								
Proceeds from the sale of bonds	-	-	-	-	-	-	1,122,144	1,122,144
Net Change in Fund Balances	18,926	79,614	2,365,583	873,840	(7,729,826)	(3,022)	166,709	(4,228,176)
Fund Balance - Beginning	128,415	818,088	3,926,187	3,329,476	17,811,908	95,969	6,308,520	32,418,563
Fund Balance - Ending	\$ 147,341	\$ 897,702	\$ 6,291,770	\$ 4,203,316	\$ 10,082,082	\$ 92,947	\$ 6,475,229	\$ 28,190,387

See Notes to Required Supplementary Information

Note 1 - Purpose of Schedules

Schedule of Expenditures of Federal Awards (SEFA)

Basis of Presentation

The accompanying schedule of expenditures of federal awards (the schedule) includes the federal award activity of the Bakersfield City School District (the District) under programs of the federal government for the year ended June 30, 2022. The information is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the financial statements.

SEFA Reconciliation

The total federal expenditures reported on the schedule differs from the total federal revenue recognized within the financial statements due to the District receiving federal subsidies for general obligation bond interest payments, Child Development: Coronavirus Response and Relief Supplemental Apportionments Act One-Time Stipend prior year revenues expended in the current year and unspent portions of the Child Nutrition: Supply Chain Assistance (SCA) Funds Supplemental Apportionments Act and Child Development: ARP California State Preschool Program One-Time Stipend revenues received.

	Federal Financial Assistance Listing/Federal CFDA Number	Amount
Description		
Total Federal Revenues reported on the financial statements		\$ 99,333,287
Federal interest subsidy	Not Available	(1,226,049)
COVID-19, Child Development: Coronavirus Response and Relief Supplemental Appropriations Act - One-Time Stipend	93.575	108,596
Child Nutrition: Supply Chain Assistance (SCA) Funds Supplemental Apportionments Act	10.555	(703,765)
COVID-19, Child Development: ARP California State Preschool Program One-Time Stipend	93.575	(217,400)
Total schedule of expenditures of federal awards		<u>\$ 97,294,669</u>

Summary of Significant Accounting Policies

Expenditures reported in the schedule are reported on the modified accrual basis of accounting. When applicable, such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. No federal financial assistance has been provided to a subrecipient.

Indirect Cost Rate

The District has not elected to use the ten percent de minimis cost rate.

Food Donation

Nonmonetary assistance is reported in this schedule at the fair market value of the commodities received and disbursed. For the fiscal year ending June 30, 2022, the District used food commodities totaling \$1,684,096.

Local Education Agency Organization Structure

This schedule provides information about the District's boundaries and schools operated, members of the governing board, and members of the administration.

Schedule of Average Daily Attendance (ADA)

Average daily attendance (ADA) is a measurement of the number of pupils attending classes of the District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of State funds are made to school districts. This schedule provides information regarding the attendance of students at various grade levels and in different programs.

Schedule of Instructional Time

The District has received incentive funding for increasing instructional time as provided by the Incentives for Longer Instructional Day. The District has met its target funding. This schedule presents information on the amount of instructional time offered by the District and whether the District complied with the provisions of *Education Code* Sections 46200 through 46207.

Districts must maintain their instructional minutes at the 1986-87 requirements, as required by *Education Code* Section 46201.

Reconciliation of Annual Financial and Budget Report with Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Unaudited Actual Financial Report to the audited financial statements.

Schedule of Financial Trends and Analysis

This schedule discloses the District's financial trends by displaying past years' data along with current year budget information. These financial trend disclosures are used to evaluate the District's ability to continue as a going concern for a reasonable period of time.

Non-Major Governmental Funds - Combining Balance Sheet and Combining Statement of Revenues, Expenditures, and Changes in Fund Balances

These schedules are included to provide information regarding the individual funds that have been included in the Non-Major Governmental Funds column on the Governmental Funds Balance Sheet and Statement of Revenues, Expenditures, and Changes in Fund Balances.



Independent Auditor's Reports
June 30, 2022

Bakersfield City School District



**Independent Auditor's Report on Internal Control over Financial Reporting and on Compliance
and Other Matters Based on an Audit of Financial Statements Performed in Accordance with
*Government Auditing Standards***

To the Governing Board
Bakersfield City School District
Bakersfield, California

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Bakersfield City School District, as of and for the year ended June 30, 2022, and the related notes to the financial statements, which collectively comprise Bakersfield City School District's basic financial statements and have issued our report thereon dated November 28, 2022.

Adoption of New Accounting Standard

As discussed in Notes 1 and 16 to the financial statements, the Bakersfield City School District has adopted the provisions of Government Accounting Standards Board (GASB) Statement No. 87, *Leases*, for the year ended June 30, 2022. Accordingly, a restatement has been made to the governmental activities net position as of July 1, 2021, to restate beginning net position. Our opinions are not modified with respect to this matter.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered Bakersfield City School District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Bakersfield City School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Bakersfield City School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented or detected and corrected on a

timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that have not been identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether Bakersfield City School District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

A handwritten signature in black ink that reads "Eide Bailly LLP". The signature is written in a cursive, flowing style.

Fresno, California
November 28, 2022



Independent Auditor's Report on Compliance for Each Major Federal Program; Report on Internal Control Over Compliance Required by the Uniform Guidance

To the Governing Board
Bakersfield City School District
Bakersfield, California

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Bakersfield City School District's compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on each of Bakersfield City School District's major federal programs for the year ended June 30, 2022. Bakersfield City School District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, Bakersfield City School District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2022.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of Bakersfield City School District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of Bakersfield City School District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to Bakersfield City School District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on Bakersfield City School District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about Bakersfield City School District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding Bakersfield City School District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of Bakersfield City School District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of Bakersfield City School District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such

that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

A handwritten signature in black ink that reads "Eide Bailly LLP". The signature is written in a cursive, flowing style.

Fresno, California
November 28, 2022



**Independent Auditor's Report on State Compliance; Report on Internal Control Over Compliance
Required by the 2021-2022 Guide for Annual Audits of K-12 Local Education Agencies and State
Compliance Reporting**

To the Governing Board
Bakersfield City School District
Bakersfield, California

Report on State Compliance

Opinion

We have audited Bakersfield City School District's (the District) compliance with the types of compliance requirements identified as subject to audit in the *2021-2022 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, applicable to the state laws and regulations listed in the table below for the year ended June 30, 2022.

In our opinion, the District complied, in all material respects, with the state compliance requirements referred to above for the year ended June 30, 2022.

Basis for Opinion

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of the *2021-2022 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. Our responsibilities under those standards and the *2021-2022 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on state compliance with the compliance requirements subject to audit in the *2021-2022 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the District's compliance with the requirements listed in the table below.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements listed in the table below has occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the *2021-2022 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements listed in the table below.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the *2021-2022 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the *2021-2022 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a state program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such

that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a state program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with compliance requirements as identified in the table below that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

Compliance Requirements Tested

In connection with the audit referred to above, we selected and tested transactions and records to determine the District's compliance with laws and regulations applicable to the following items:

	<u>Procedures Performed</u>
LOCAL EDUCATION AGENCIES OTHER THAN CHARTER SCHOOLS	
Attendance	Yes
Teacher Certification and Misassignments	Yes
Kindergarten Continuance	Yes
Independent Study	Yes
Continuation Education	No (see below)
Instructional Time	Yes
Instructional Materials	Yes
Ratios of Administrative Employees to Teachers	Yes
Classroom Teacher Salaries	Yes
Early Retirement Incentive	No (see below)
Gann Limit Calculation	Yes
School Accountability Report Card	Yes
Juvenile Court Schools	No (see below)
Middle or Early College High Schools	No (see below)
K-3 Grade Span Adjustment	Yes
Transportation Maintenance of Effort	Yes
Apprenticeship: Related and Supplemental Instruction	No (see below)
Comprehensive School Safety Plan	Yes
District of Choice	No (see below)
SCHOOL DISTRICTS, COUNTY OFFICES OF EDUCATION, AND CHARTER SCHOOLS	
California Clean Energy Jobs Act	No (see below)
After/Before School Education and Safety Program	No (see below)
Proper Expenditure of Education Protection Account Funds	Yes

	<u>Procedures Performed</u>
SCHOOL DISTRICTS, COUNTY OFFICES OF EDUCATION, AND CHARTER SCHOOLS	
Unduplicated Local Control Funding Formula Pupil Counts	Yes
Local Control and Accountability Plan	Yes
Independent Study - Course Based	Yes
Immunizations	No (see below)
Educator Effectiveness	Yes
Expanded Learning Opportunities Grant (ELO-G)	Yes
Career Technical Education Incentive Grant	No (see below)
In Person Instruction Grant	Yes
CHARTER SCHOOLS	
Attendance	No (see below)
Mode of Instruction	No (see below)
Nonclassroom-Based Instruction/Independent Study	No (see below)
Determination of Funding for Nonclassroom-Based Instruction	No (see below)
Annual Instructional Minutes - Classroom Based	No (see below)
Charter School Facility Grant Program	No (see below)

We did not perform Continuation Education procedures because the program is not offered by the District.

The District did not offer an Early Retirement Incentive Program during the current year; therefore, we did not perform procedures related to the Early Retirement Incentive Program.

The District does not have any Juvenile Court Schools; therefore, we did not perform procedures related to Juvenile Court Schools.

The District does not have any Middle or Early College High Schools; therefore, we did not perform procedures related to Middle or Early College High Schools.

We did not perform Apprenticeship: Related and Supplemental Instruction procedures because the program is not offered by the District.

We did not perform District of Choice procedures because the program is not offered by the District.

We did not perform California Clean Energy Jobs Act procedures because the related procedures were performed in a previous year.

We did not perform procedures for the After/Before School Education and Safety Program because the District did not offer the program.

The District was not listed on the immunization assessment reports; therefore, we did not perform any related procedures.

We did not perform Career Technical Education Incentive Grant procedures because the District did not receive funding for this grant.

Additionally, the District does not operate any Charter Schools; therefore, we did not perform procedures for Charter School Programs.

The purpose of this report on internal control over state compliance is solely to describe the scope of our testing of internal control over state compliance and the results of that testing based on the requirements of the *2021-2022 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. Accordingly, this report is not suitable for any other purpose.

A handwritten signature in black ink that reads "Eide Sully LLP". The signature is written in a cursive, flowing style.

Fresno, California
November 28, 2022



Schedule of Findings and Questioned Costs
June 30, 2022

Bakersfield City School District

Financial Statements

Type of auditor's report issued	Unmodified
Internal control over financial reporting	
Material weaknesses identified	No
Significant deficiencies identified not considered to be material weaknesses	None Reported
Noncompliance material to financial statements noted?	No

Federal Awards

Internal control over major program	
Material weaknesses identified	No
Significant deficiencies identified not considered to be material weaknesses	None Reported
Type of auditor's report issued on compliance for major programs	Unmodified
Any audit findings disclosed that are required to be reported in accordance with Uniform Guidance 2 CFR 200.516(a)	No

Identification of major programs

<u>Name of Federal Program or Cluster</u>	<u>Federal Financial Assistance Listing/Federal CFDA Number</u>
COVID-19, Elementary and Secondary School Emergency Relief Fund (ESSER)	84.425D
COVID-19, Elementary and Secondary School Emergency Relief Fund (ESSER II)	84.425D
COVID-19, Elementary and Secondary School Emergency Relief Fund (ESSER III)	84.425U
COVID-19, Governor's Emergency Education Relief Fund (GEER)	84.425C
COVID-19, After School Education and Safety (ASES) Rate Increase: ESSER III State Reserve Afterschool Programs	84.425U
Child Nutrition Cluster	10.553, 10.555, 10.559, 10.582
Migrant Education State Grant Program	84.011
Dollar threshold used to distinguish between type A and type B programs	\$2,918,840
Auditee qualified as low-risk auditee?	No

State Compliance

Internal control over state compliance program	
Material weaknesses identified	No
Significant deficiencies identified not considered to be material weaknesses	None Reported
Type of auditor's report issued on compliance for programs	Unmodified

None reported.

None reported.

None reported.

Except as specified in previous sections of this report, summarized below is the current status of all audit findings reported in the prior year's Schedule of Findings and Questioned Costs.

Financial Statement Findings

2021-001 30000

Internal Control Over Financial Reporting

Criteria

School districts are responsible for maintaining accurate financial statement information including properly recording and reporting all financial transactions and balances and must be able to prepare financial statements that are free of material misstatements, including ensuring all necessary disclosures are present.

Condition

During our final audit, we discovered that a cash account reported within the General Fund which held lease proceeds that were paid out in full to a vendor totaling \$2,223,994 was not properly adjusted (zeroed out) during the closing process. The adjustment to cash also led to the same amount of \$2,223,994 not being added to the capital asset additions for the current year. Additionally, during our audit we discovered an error in the posting of the annual adjusting entry to the District's estimated claims liabilities in the Workers' Compensation and Health and Welfare Self Insurance Funds causing the balances to require an audit adjustment increasing the liabilities by \$1,022,758.

Effect

The amounts were material and audit adjustments were necessary both at the Fund reporting level as well as additional full accrual conversion entries for the entity wide financial statements to cash, capital assets and the claims liability accounts.

Cause

These types of adjustments are extremely rare for the District. A few factors contributed to the oversight. The District's business/fiscal services office experienced turnover in a key position during the year and just prior to the closing process. The position was filled timely but the new hire was unfamiliar with the historical adjustments needed at the District. Regarding the lease proceeds account, this closing entry would be deemed non-routine which easily leads to an oversight. Additionally, the COVID-19 pandemic had the business office working, at times, in a partially remote environment; that, coupled with additional responsibilities and issues requiring attention regarding COVID-19 grants and the distance learning/new independent study program coordination and planning led to the oversight.

This finding is not a repeat of or related to a finding in the previous year.

Recommendation

The District should make closing notations when non-routine or irregular events occur that, at some point in the future, will require adjustments, such as was the case with the lease proceeds being placed in an outside financial institution rather than the County Treasury. The Self Insurance Fund closing entries and resulting balances should be closely reviewed by someone other than the individual calculating and posting the entries to ensure the balance agree to supporting schedules.

Current status

Implemented.

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